



IIM A Consult Prep Caselet 2022-23

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Introducing the IIMA Consult Prep Caselet

This year the Consult Club, IIM Ahmedabad is proud to present for the first time ever, the Consult Prep Caselet, an add-on to our Consult Prep Book for aiding case preparation for consult enthusiasts.

The document is a careful curation of real interview experiences of candidates with leading consulting firms. These interview experiences are collected, analyzed, sanitized, and then bolstered using relevant frameworks. We hope, just like the Consult Prep Book, this document will help thousands of users develop and strengthen their case solving skills.

We're making this document available in the public domain with a goal to aid consulting aspirants, irrespective of campuses and levels of information access, step closer to their professional goals. We hope that we've been able to help you in doing so. Wishing you the best!

Sonam Tshering Sherpa
Coordinator, Consult Club, 2022-23

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IIMA Consult Prep Caselet

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Restaurant – Interview Transcript

Hi. Let's get started with a case. Your client is a restaurant in Paris. They are facing a decline in their profits. They want your help to rectify this.

Sure, I just want to make sure I have sufficient information about the situation on hand before I start with my analysis. Could you please tell me more about how much decline in profits the client has witnessed and for how long?

Sure, There has been a decline of around 10 percent over the last 4-5 months.

Thanks. To analyze appropriately, I'd like to know a little bit more about the restaurant. Could I know what segment of customers it caters to and where is it located?

The restaurant is amongst the most elite restaurants in the heart of Paris. It has a long legacy behind it and is the epitome of fine dining. The customers are therefore, usually, well-to-do. The restaurant is usually chosen for special occasions and has an intimate setting.

That's nice to hear. Have the other restaurants of a similar type experienced a decline in profitability as well?

No, it's just this restaurant.

That's interesting. It seems then that this issue is pertinent only to our client. I'd like to analyze their decline in profits at two axes: revenues and costs. Are we aware of which one seems to be affected?

Our costs haven't changed as our location, raw material procurement and wage rates have remained constant.

Alright, then I think we can focus on revenues. Revenues can be broken down into various streams for a restaurant like dine-in, takeaways, deliveries. Other peripheral revenues can include advertisements, catering, etc. Considering it is a high-end restaurant, I would focus on the dine-in revenues. Is that a fair assumption?

Yes, that's fair, carry on.

Sure. The reduction in revenue can be because of either change in prices of dishes or because the amount ordered is lower. Do we have information regarding this?

Yes, in fact it can be seen the number of customers visiting our restaurant has decreased. The order quantity once they have arrived has remained the same. Could you think of why?

I would like to analyze this from the POV of the customer through his journey with the restaurant. The customer journey can be divided into three phases:

1. Before arrival
2. At the restaurant
3. Post service

Since the number of customers arriving has reduced, I would like to map his journey till he arrives at the restaurant. May I continue?

Sure, go ahead.

Since it's a luxury restaurant, The first step of the journey would involve choosing it and then making a reservation via either email or call. Is this correct?

Yes, in fact you have picked up on a very interesting aspect. Around 8 months ago, the client noticed that the queues for reservations were exceeding 3-4 months because of its immense popularity. For competitors, the wait was no longer than 2 months.

Oh! Was anything done to sort this issue? If not, then this issue could act as a deterrent for customers to choose our restaurant.

Yes, the management resolved this issue by adding a few tables in the restaurant by re-arranging the space. This increased space relieved the pressure on demand, and they were able to keep reservation times to 2 months, like other competitors.

That is interesting, so despite resolving this issue we are seeing a decline in demand.

That's right.

I'd like to analyze the customer journey in more depth. However, before I get into that, may I know if there were any other effects of adding additional tables?

Do you think there would be any other effects?

I feel that given the intimate nature of the restaurant, adding tables might lead to cramping and may not match the positioning of the restaurant. This can put off customers who choose this restaurant for special occasions. Is this a correct inference?

You have absolutely nailed the issue. Do you think the client should continue with the additional tables in order to reduce the waiting time or should they increase the waiting time?

I do not think the client should continue with the additional tables. The restaurant has a legacy of being a premium place, the client should continue living up to this legacy. Any bid to add more tables would reduce the intimate setting of the restaurant, leading to bad word of mouth and a gradual decrease in demand.

I think that's all from me. Great effort!

Thank You.

Restaurant

Your client is restaurant in Paris who has been seeing a decline in profits.

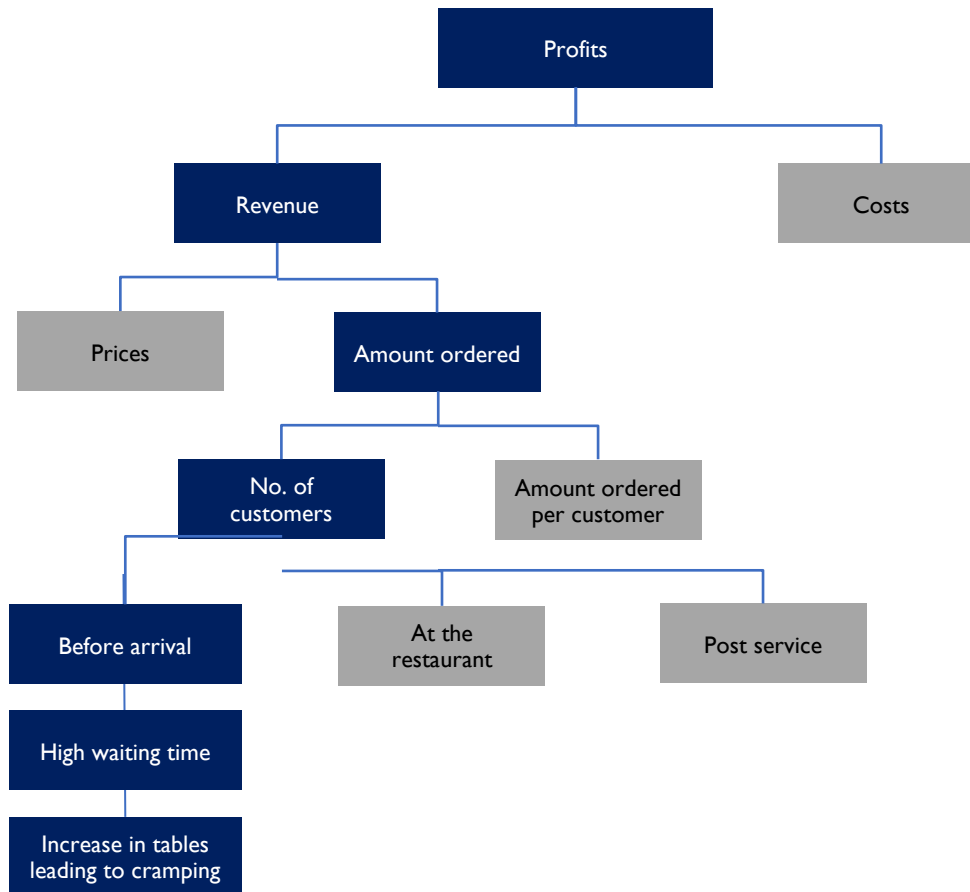
Interviewee Notes

- It is important to ensure recommendations suggested uphold the legacy of the restaurant

Case Facts

- Premium restaurant in Paris
- Decline in profits in the last 4-5 months
- Costs have remained constant
- Decline in customers

Approach / Framework



Recommendations

- The client should do away with the additional tables that have been added in order to maintain the premium positioning of the restaurant

Observations / Suggestions

- The candidate has done a good job in aligning the recommendation with the values of the restaurant (premium restaurant)
- The candidate was quick to draw an inference about how an increase in tables might affect the experience of the customers at the restaurant

Metals & Mining Firm – Interview Transcript

The CEO of a Metals & Mining company has approached us to increase their profits. How would you proceed with this problem statement?

Okay. Do we have any data about the financials of the client that will help me understand the situation better?

The firm has a revenue of \$ 1 billion and total costs of \$ 800 million. 25% of the costs are fixed, and 75% are variable.

There are two possible strategies for profit improvement. One, is a sales acceleration strategy, and the other is a cost reduction strategy. We have identified possible improvements in their processes that can help achieve a 10% reduction in cost to pursue the second strategy. However, the client is more inclined toward pursuing a sales acceleration strategy. I would like you to calculate the profit attainable with the proposed cost reduction strategy. Subsequently, calculate the increase in sales required to attain the same profit level.

Is the 10% reduction in cost associated with fixed/variable cost, or is it a reduction in the overall cost?

It is a reduction in the overall cost

In that case, the 10% reduction will decrease overall costs from \$800 million to \$720 million. This will result in a new profit of \$1000 million - \$720 million = \$280 million.

That is correct. Now, please calculate the increase in revenue required to attain the same profit if we follow the sales acceleration strategy.

Do we have enough installed capacity to achieve the increase in revenue without an increase in fixed costs?

Yes.

In that case, our fixed costs will remain at \$200 million (\$800 million * 0.25). The ratio of revenue to variable costs is 10:6. Thus, if we assume revenue to be 10x, variable costs would be 6x. Thus, the equation is $10x - (6x + 200) = 280$, since 280 million is the new profit level. Solving this equation yields $x = 120$, which implies we will have to increase revenue (sales) to \$1200 million, which constitutes a 20% increase in sales.

That is correct. Thus, to achieve the same increase in profit, you need a 20% increase in sales or a 10% decrease in costs. You need to suggest one strategy to your client. Which strategy would you recommend and why?

I would recommend going with the cost reduction strategy for the following reasons:

1. **Feasibility:** The sales acceleration strategy will be a function of 2 things: our installed capacity and the demand for our product in the market. Capacity is unlikely to be a bottleneck, given our previous discussion. However, we don't know if there is enough demand in the market for our product. On the other hand, we have already identified the process changes required to achieve cost reduction. Thus, it is a more feasible strategy.
2. **Profitability:** The sales acceleration strategy does not increase our profitability since the revenue, and variable cost ratio is maintained. However, the cost reduction program reduces the cost incurred for the same amount of revenue and improves our profitability. The increase in profitability will result in long-term gains since it implies that if we are able to increase our sales volume in the future, the profits will be higher than if we only pursued a sales acceleration strategy. Additionally, it also provides us the option to offer more competitive prices while maintaining our margins, which in turn will also help increase our sales.

These are good points. Can you think of any other factor that might support your recommendation, given that the firm is a public limited company listed on the exchange?

In that case, we need to maximize the company's valuation on the exchange, which is a product of the number of shares and price per share. I am unaware of the metric used to price the shares in the metals and mining industry.

If it is done based on the P/E ratio, both strategies will yield the same value since net income is the same. However, if it is the EBIDTA approach, then the cost reduction strategy is superior.

That is a good analysis. The mining industry values firms based on operating profit as a function of revenue. Thus, following a cost-reduction strategy will appreciate the firm's share value. Further, let's say the company wants to look at sales acceleration strategy through volumes. On a broad level can you tell me what would be the aspects that you think the client should focus on.

Metals are a commoditized product. Thus, demand will not be a constraint as long as we have the capacity to serve the market. Since the client has enough production capacity, they should focus on increasing their SAM (serviceable available market).

That's a great point. What do you think might be a constraint for metals & mining company to increase their SAM?

For mining companies, location of mining sites influences the market they serve. Since, the location of mines is not under complete control of the company, increasing SAM might be a challenge.

That makes sense, we can close the discussion here.

Thank you.

Metals & Mining Firm

Your client is Metals & Mining company who wants to increase their profits.

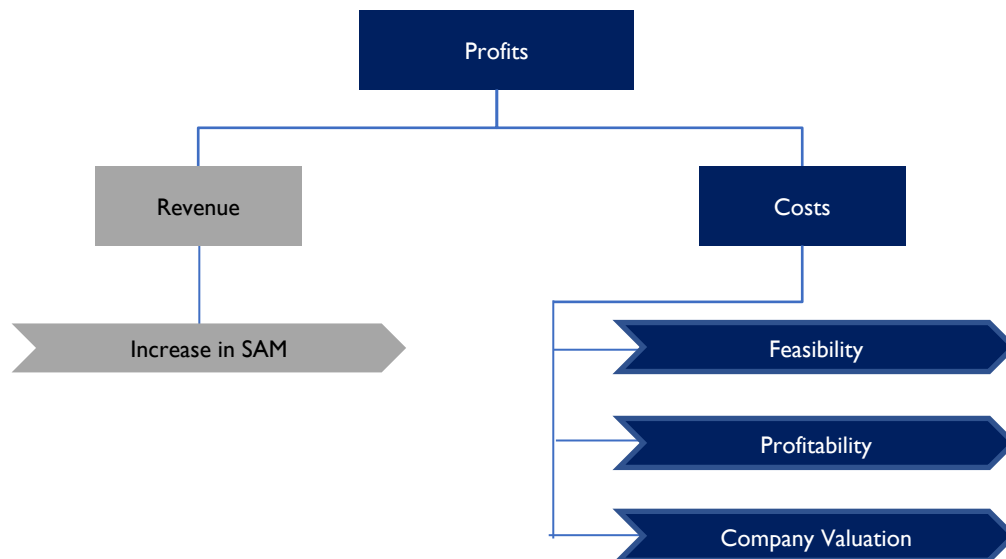
Interviewee Notes

- It is important to keep in mind the nature of Metals & Mining industry
- Analyzing the current production capacity / constraints of the client is critical as there might be supply side constraints as well

Case Facts

- Metals & mining client who wants to increase profits
- Sales acceleration strategy or cost reduction strategy
- Methods to reduce costs by 10% have been identified

Approach/ Framework



Recommendation

- The client should prefer cost reduction strategy over sales acceleration strategy as capacity increment is a long term effort

Observations / Suggestions

- The candidate has done a good job clarifying about fixed vs variable costs
- If you are unaware of the various metrics which can be used to judge a listed company, it is better to confirm from the interviewer.

Airport Coffee Shop – Interview Transcript

Your client is a coffee shop owner at the airport, and they have been witnessing a decline in their profits for the last three months. Identify the issue and give recommendations.

Okay. What is the magnitude of the observed decline? Further, what are the products and services offered at the coffee shop, and where is this airport located?

The airport is in Delhi. The shop offers a variety of coffee and snacks, and the decline is significant, but the exact magnitude is unknown.

All right. Next, I would like to know whether any specific revenue stream or product is the major contributor to the decline.

Not really. The decline is uniform across all the products.

Got it. Is the decline being faced by other outlets in the airport as well?

Yes. All nearby F&B outlets are facing a similar decline.

Okay, that's interesting. So, the decline in profits could be attributed to either decline in revenues and/or an increase in costs. Do you want me to focus on a particular part? Or analyze both?

Let's start with the revenues.

Revenue has three major levers that might be influencing it: the average price, the number of orders, and the product mix. Do you want me to focus on any specific part?

Let's start by analyzing the number of orders. We have info that these have declined.

Okay. So, the number of orders can be bifurcated using a simple mathematical formula = (No. of people visiting the airport) x (% visiting our shop) x (Average no. of orders/customer)

Do we have information on whether any of these have changed recently?

So, the percentage of people visiting our store has decreased.

Okay. To analyze it, I would like to take the perspective of the customer and divide the whole journey into three stages: Pre, During, and Post. Does it sound like a fair approach?

Yes, carry on.

In the Pre-stage, I would like to analyze 3 main aspects: need, awareness, and accessibility. Do we have info if any of these factors have changed?

No, you can proceed to the next stage.

In the 'during' stage, I would analyze 4 factors, Affordability, Availability, Product differentiation, and Payment. Do we have a change in any of these?

No, there is no change in any of these

Okay. Finally, I would like to analyze the post-order stage. In it, I would like to see if the sitting space or taste/quality of food has changed.

Yes, the sitting space has been affected. Can you figure out why it might have happened?

Seating space has two main parameters influencing it. Internal: availability of seats and the comfort of the seats. External: Regulation on the seating arrangement by the airport and the outside view. Do we have info if any of these have changed?

Yes, the availability of seats has reduced.

This could be due to some construction/renovation work. Is that the case?

Yes. The seats are undergoing maintenance work. Due to this, customers are not able to find a place to sit and thus are not ordering. Do you want to add something?

I understand that we might be having a food court type of setup, due to which other stores are also being affected.

Exactly. What would be your recommendation to rectify the situation?

Before moving to the recommendation, I would like to know why the maintenance of seats is undergoing and what is the tentative timeline for it to finish.

The airport wants to move to the permanent concrete-based seating arrangement; thus, a major overhaul is taking place, which will take a few more months.

Thanks for the information. I would like to recommend that we focus on takeaway products, and for this, we might need to change the packaging and create marketing material to promote the takeaway products in the airport. Also, if possible, we can use the open space and have a temporary seating arrangement.

Sounds good. We can close the case.

Airport Coffee Shop

Your client is an airport coffee shop that wants to arrest the profit decline.

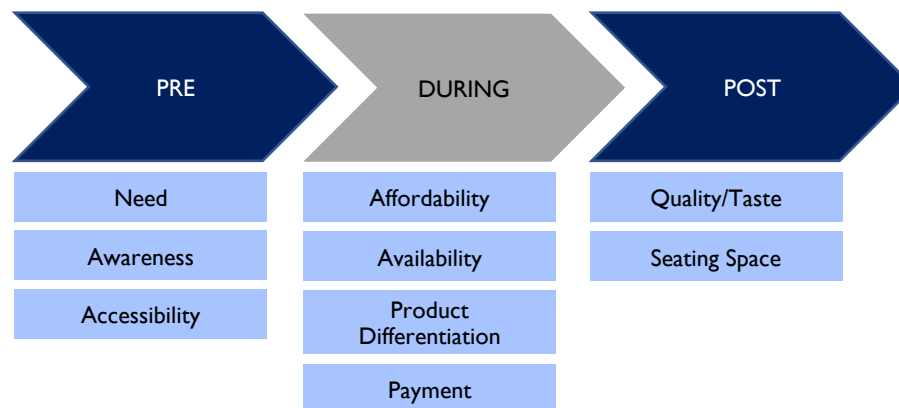
Interviewee Notes

- Try to maintain a structured approach at each step to ensure none of the possibilities are missed. Ensure the alternatives are MECE.
- The Pre-During-Post framework is particularly useful in analyzing the customer journey.

Case Facts

- Client is a coffee shop operating inside Delhi airport and is facing a significant profit decline for the past 3 months
- All nearby F&B outlets witnessing a decline in profits
- Decline in the percentage of customers visiting our shop

Approach / Framework



**Pre-During-Post based on Ordering at the Coffee Shop, where during stage refers to the ordering step.*

Recommendations

- The client should focus on takeaway products till the maintenance work is done
- Changes need to be made to the packaging, promotions and related aspects to push the takeaway products in an effective manner

Observations / Suggestions

- The candidate did a good job in terms of following a structured approach to reach the root cause
- The framing of parameters in terms of MECE mathematical formulas helps approach the problem in a structured manner

Spirits Manufacturer – Interview Transcript

Your client is a global spirits manufacturer. Their profits from India have dropped this year. Analyze the problem.

Sure. Is this problem being faced by other companies in the industry as well?

No, it is a client-specific problem.

Is this problem faced by any other geography or just in India?

Only in India.

Do we have any more information on the company? The major products offered, the product mix, the target customers (individual consumers or industrial companies), where all it operates in the value chain, and if the profits have dropped in any single segment/product.

The client is a leading manufacturer of gin for human consumption. 75% of its portfolio is standard gin, 10% is flavored gin, and 15% is premix cocktails. It is present throughout the value chain, right from manufacturing the gin to distributing it. The profits have dropped in the premix cocktail category.

Sure. Do we have any data about how much the profits have dropped this year?

It is about 10%.

Okay, thank you for the information. To analyze the problem, we can break down the client's profits into revenue and costs. Do we have any information on where the problem is?

It is present in both. Let's look at the revenues first.

All right. So, the revenue of the client will equal the Number of premix bottles sold * Average price per bottle. Another way could be the Number of customers * Number of orders per customer * Average value per order.

This works. The issue is with the number of orders. Let's move on to the costs.

To analyze the costs, I'd like to look closely at the various components of its value chain. The value chain would include research & development, raw material procurement, manufacturing, warehousing & storage of the final product, distribution, marketing, and after-sales services. Do we know where the problem lies?

Yes, it is in the manufacturing process.

The manufacturing process involves the conversion of raw materials into the desired cocktail mix, packaging the mix into bottles and any other further packages, and labeling the packages. Have any of these been affected?

The problem is in the packaging.

A product's packaging can be divided into primary, secondary, and tertiary packaging. Do we have information on the same for this product?

The primary packaging is bottles, and the problem is in the tertiary packaging.

In the case of pre-mix cocktails, the tertiary packaging would include the cartons/boxes used to package the bottles for further transportation. The following could be the problems with the tertiary packaging – breakages, wrongful identification, and inappropriate design for handling. Is there any special packaging requirement for the product?

Yes, the product is to be kept at an optimal temperature.

Okay, so then a lack of temperature control packaging could be leading to spoilage of the product in transit and hence increasing wastage and, in turn, the costs of the client. Is this a correct hypothesis?

Yes, you are right. Could you give some recommendations?

In the short term, the client can buy/rent temperature control boxes. They can also think of transporting the bottles in bulk using temperature-control trucks. They also tie up with other agriculture or manufacturing companies to collaboratively use temperature-controlled resources.

In the long run, they can invest in researching different preservatives that make the product more resilient to temperature changes.

Okay, that seems fair. We can wrap up the case.

Thank you.

Spirits Manufacturer

Your client is a global spirits manufacturer that wants to arrest the profit decline.

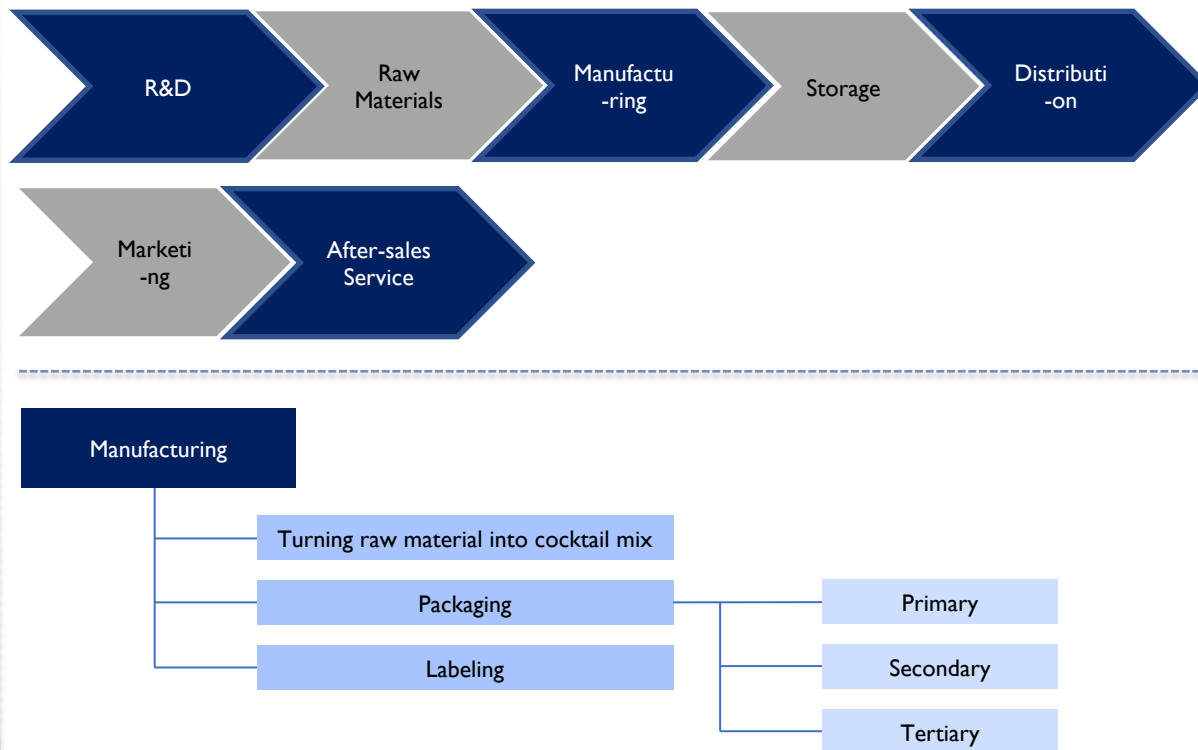
Interviewee Notes

- The basic value chain framework can be applied to any cost-related problem with slight modification
- Manufacturing also includes packaging as a major step which could be a driver in some of the cases

Case Facts

- Global spirits manufacturer client
- 10% decline in profits observed in India
- Profits decline driven by premix cocktails

Approach / Framework



Recommendations

- In the short run, the client can rely on renting cold storage boxes or use temperature-controlled trucks
- In the long run, the client can research on different preservatives such that cold storage won't be a requirement for preserving the product anymore

Observations / Suggestions

- The candidate followed an efficient structured approach by analyzing the revenue via a mathematical formula and the costs via a value chain approach
- The candidate was effective in reaching the root cause by breaking down the manufacturing into its key components which people often fail to accomplish

Oil and Gas – Interview Transcript

Your client is an oil and gas company in India. They have been facing declining profits for some time now. Kindly assess the situation and provide recommendations.

Okay. May I know the magnitude and the period of the decline? Also, is it fair to assume that the objective is to stop the declining profits?

The decline has been about ~10% over the past 3 years. Yes, the goal is to arrest the decline in profits.

Got it. Next, I would like to know a bit more about the client. What part of the value chain do they operate in – Upstream, Midstream, or Downstream? Further, where are they located geographically? Also, are they facing a decline in profits in a particular geography?

The client is involved in Exploration, Extraction, and Refining across India. The decline is seen pan India, but it's higher in sites closer to urban areas.

Okay, that's interesting. So, the decline in profits could be attributed to either decline in revenues and/or an increase in costs. Do you want me to focus on a particular part? Or analyze both?

Let's just focus on costs for this case.

Fair enough. I would like to take a moment to list the major cost components in the value chain.

The major cost heads would be Exploration > Extraction > Transport > Refining > Sales and Marketing > After service and other corporate overheads.

Do we see a significant cost increase in any of these, or shall I analyze all the components?

Yes. We are seeing an increase in exploration costs and corporate overhead.

Okay, as far as I know, exploration involves getting tenders from the government and geological surveys. Are any of these costs up?

The tendering costs are up.

Okay, we can think of tender costs as the number of tenders won multiplied by the average cost per tender. Which of these is the driver for the costs? If the number of tenders is a driver, it would mean we are trying to get more sites for exploration, which might not necessarily be bad.

Correct. The no. of tenders we are applying for, and winning has gone up. Why do you think this could be?

It could be either that we are trying to expand aggressively, or our old sites are drying up, and we need to get replacements for them.

Yes, it's the latter. Our wells are drying up as they have almost reached their capacity. So, we need to replace them with new wells and hence the push for more tenders. Let's move to the corporate overhead costs; what could be the driver over there?

We can think of it in terms of major departments – Admin, HR, Accounting, Legal, etc. Can we attribute the increased costs to any of these, or shall I think of a different approach?

No, that's fine. We can attribute the increased costs to the legal department. Why could that be?

Interesting. We can think of it as legal expenses related to the sites and the corporate. Which of these is up?

The site-related legal expenses are up. Can you relate it to the earlier provided information about costs being higher near urban sites?

We may be facing some legal issues related to the newly acquired sites near the urban areas. It could be driven by political, social, or environmental issues.

It's a social-driven issue, more specifically, related to the citizens of those areas.

Given that it is a citizens' driven issue, it could be that there are people residing near or at the newly acquired sites, and we are having issues getting them to evacuate the area, hence the higher legal costs.

That's correct. Now that you have identified the issue, what would be your recommendations?

The first recommendation would be to leverage political connections to evacuate the area as quickly as possible. If that's not possible, we would have to incentivize people to move from the sites, which can be via monetary compensation or providing alternate accommodation. The decision should be taken after a thorough cost-benefit analysis. Regarding alternate accommodation, I would like to look at it from a short-term and long-term perspective. In the short term, we would have to allocate temporary housing to the people so that the site is available for work as soon as possible. But this must be done with the promise of decent long-term accommodation to the people to make it acceptable to them.

That's good enough. We can wrap up the case. Thank you.

Oil and Gas

Your client is an oil and gas company in India. They have been facing declining profits for some time now.

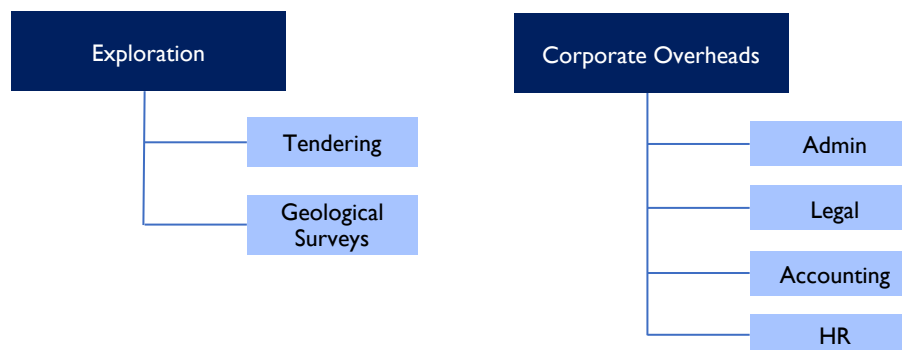
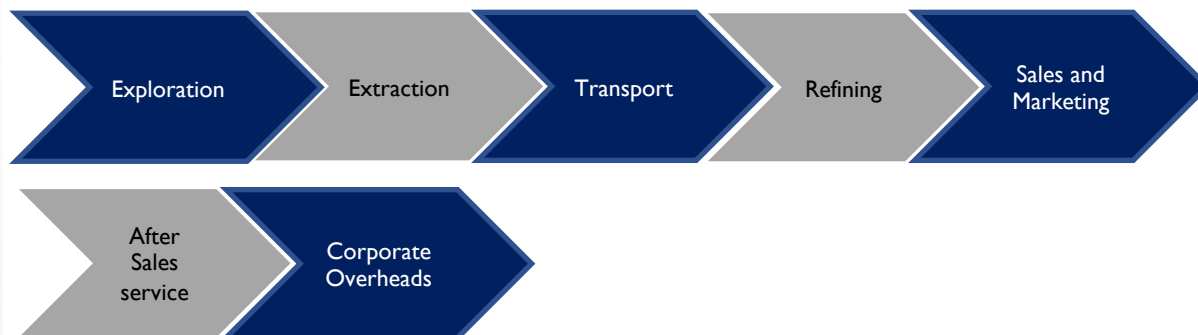
Interviewee Notes

- It helps to know the basic value chain of the oil and gas industry.
- Include corporate overheads as a default component of your cost framework to avoid missing it out

Case Facts

- Oil and Gas client facing declining profits across India
- Decline higher near urban sites
- Involved in Exploration, Refining and Mining

Approach / Framework



Recommendations

- The client should try and leverage existing political connections to expedite the evacuation
- Else, they should offer alternate short-term accommodation to the residents with the promise of a long-term feasible accommodation for them to live in

Observations / Suggestions

- The candidate has a fair idea of the oil and gas value chain and was able to leverage it
- The candidate should have referred to the already mentioned info (higher decline near urban sites) to ensure that the critical information can be used to reach the root cause quicker

Cookie Manufacturer – Interview Transcript

A cookie manufacturing company is facing a decline in profits. Please identify what is going wrong and how it can be turned around.

Before I take time to gather my thoughts, I would like to understand a little more about our client. Are we talking about a cookie company akin to hide and seek, or a slightly more premium brand like dark fantasy or an even more premium and niche brand like Theobroma?

Our client is like the hide and seeks of the world.

Oh alright! Before we proceed, can you please tell me where the client functions on the value chain?

They only manufacture the cookies. They source raw material from suppliers and employ third party vendors to make it available for the consumers.

Alright! How many plants do we have and where are these plants located?

The client has 5 plants spread across India. It has a presence in retail stores across India.

Can you quantify the decline for me? Also, since when has the client been experiencing a decline in profits?

Sure- About 20%. They have been experiencing a decline for only a short while now, about 6 weeks.

Have the other players in the industry been performing okay or are they facing a similar decline?

No. This is a company specific issue.

Finally, is a specific plant contributing to the decline in profits or are all the plants performing poorly?

All the plants are performing poorly.

Alright! A decline in profits could be a product of increase in costs, decrease in costs or an interplay of the two. Is there a specific leg you would like me to focus on?

Let us look at costs for now. Can you lay down the different cost heads for me?

Absolutely. I would like to look at the different costs we incur along the value chain. These costs could be clubbed as those incurred during procurement, processing, distribution and marketing

Our client is particularly keen in procurement. Let's look at that!

Procurement costs would include cost of contracting, raw material costs...

[Interviewer interjects] Lets zoom in on raw materials costs

Raw material costs can be divided into price, quantity and mix

The price and quantity purchased has not changed.

Have we tampered with the mix of the cookie?

We have increased the choco-chips in our cookies. Can you come up with a few recommendations for our client?

Before I proceed to formulate my recommendations, I would like to understand the rationale behind increasing the choco-chips in our cookies.

Good question! Can you help me identify a few reasons.

The reasons could be internal and external to the company. Our direct competitors could have increased choco chips in their cookies, customer preferences could have been perceived to change.

What could internal factors be?

Based on our EOQ calculations, we could've decided to increase the procurement of choco chips.

But costs have gone up.

That's correct. However, increase in costs could be owing to increase in wastages as opposed increase in procurement costs.

Alright! We have increased the procurement of choco chips owing to supplier pressure.

Thank you. We can try to reduce our costs or increase our revenues to maintain the same bottom line. Reducing costs would include diversifying our suppliers, re-negotiating with existing suppliers etc. We could use the excess choco chips in our cookies and market it as a more premium product by charging a higher price. This would help us bring up our revenues if there is no attrition in our customers. Finally, we could increase our overall production quantities by increasing the procurement of all the other raw materials if we can capture the required market share and have the potential for capacity expansion.

Cookie Manufacturer

A cookie manufacturing company is facing a decline in profits.

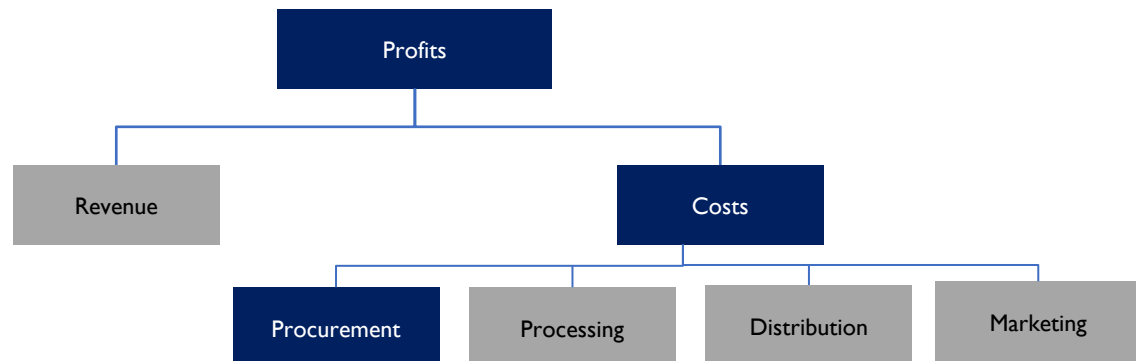
Interviewee Notes

- It is important to understand our client.
- Analyzing the current production capacity / constraints of the client is critical as there might be supply side constraints as well
- Both, sales acceleration strategy or cost reduction strategy can act as good solutions.

Case Facts

- Our client manufactures competitive cookies like hide and seek.
- Raw material costs have increased owing to supplier pressure.

Approach/ Framework



Recommendations

- The client should prefer cost reduction strategy over sales acceleration strategy
- In case of sales acceleration strategy, the client should focus on increasing SAM (serviceable available market)

Observations / Suggestions

- The candidate has done a good job clarifying about why there has been a change in the raw material mix.
- An increase in profits via increase in sales / decrease in costs would depend on the type of the industry, it is important to take the dynamics of the industry into consideration while taking this call

Home Loan Provider – Interview Transcript

Your client is an affordable home loan provider. They started in 2018-2019 and have grown to have a book size of 1500 crore by 2022. However, the book size has remained unchanged for the last 8/9 months. What do you think are the reasons for this, and what can we do to help them?

Great. So, a couple of questions before we dive into the solution. What do we mean by affordable home loans?

They provide loans with small ticket sizes, usually between 10 to 15 lakhs

Is this stagnation an industry-wide trend given the current economic conditions? Additionally, what does our competition look like? How many direct competitors are there, & what's their market share?

It's not an industry-wide issue. It's something that has happened to our client only. We have around 4 competitors in the market, and all 5 players have an equal market share.

Since it's not an industry-wide issue and our book size has not increased over the last 8-9 months, is it safe to assume our 20% share has fallen and been taken up by our competitors?

Yes, that's correct. We don't have the latest numbers, but we expect them to indicate a significant fall in market share for us.

Okay, understood. So, to assess the reasons for this stagnation, I would like to look at it from demand and supply sides both. On the demand side, I would like to look at the number of consumers and the average ticket size per consumer. On the supply side, I'd like to evaluate if any internal constraints are impacting our ability to disperse loans, such as regulatory authorities' sanctions on our bank.

We can focus on the demand side for now.

Okay. Breaking down demand into the number of customers and average loan ticket size per customer. Have we seen a fall in any of these numbers?

The average ticket size has remained the same.

So, this implies that our number of customers has fallen. Have we seen an increase in repayments, or should I focus on just the fresh loans we are getting?

Good question. We can ignore repayments for this case.

Got it. So, to understand why the number of customers could have gone down, I would like to work through key elements of their journey – identification of need, competition analysis, selection of provider, processing of their loan, disbursement of loan and post-disbursement activities. We already know that demand hasn't gone down since the competitors aren't facing this problem, so I'd like to focus on the other elements. Is there anything specific you would like me to work through?

Yes, we know that the problem is in the processing stage. How would you break it down further?

We can look at the following stages: document collection, document submission, document verification and approvals.

Looks good. What next?

I'd like to walk through each of these elements and see where the customers are dropping out. What is our way of document collection – do customers submit it online or do they come to the branch to submit it?

No, all these remain the same.

Great. We can talk about approvals now. Based on my understanding of the banking industry, I believe there would be a multi-level approval process that would be followed – starting from initial approvals at the local branch manager level and moving up to the regional level depending on the customer's risk/total loan requirement. Have we seen any change in the approval process – have any new levels been added or have the rejections at this stage gone up?

That's correct. We've recently added a centralized approval layer at the zonal office to ensure tighter control on the process. However, the number of loans getting rejected at this stage has gone up.

Interesting. Is there any reason for this increase? Are the customer documents not meeting specific criteria or are there any deviations not identified earlier?

The approver is being extra cautious and asking for more customer documents. There is no fault at the previous levels of verification.

Understood. Given how we collect the documents from our customers from their homes, is it correct to assume that we now must travel back with these documents to their house and collect the updated ones again?

Yes. What do you think are the implications of this?

This would cause our turnaround time to go up significantly which could lead to dropouts.

Correct. That is what is happening. What are some recommendations you would give them?

My recommendation would be –

- 1) Analyze the abnormalities being identified by the zonal approver and see if we can incorporate them in our standard documentation so we can remove the incidence of this at the source
- 2) Relook the need for a centralized zonal approval
- 3) In the long run, we can consider moving to an online/app-based set-up so the turnaround time for the entire process can be reduced significantly

Great, I think we can end the case here.

Thank you for your time.

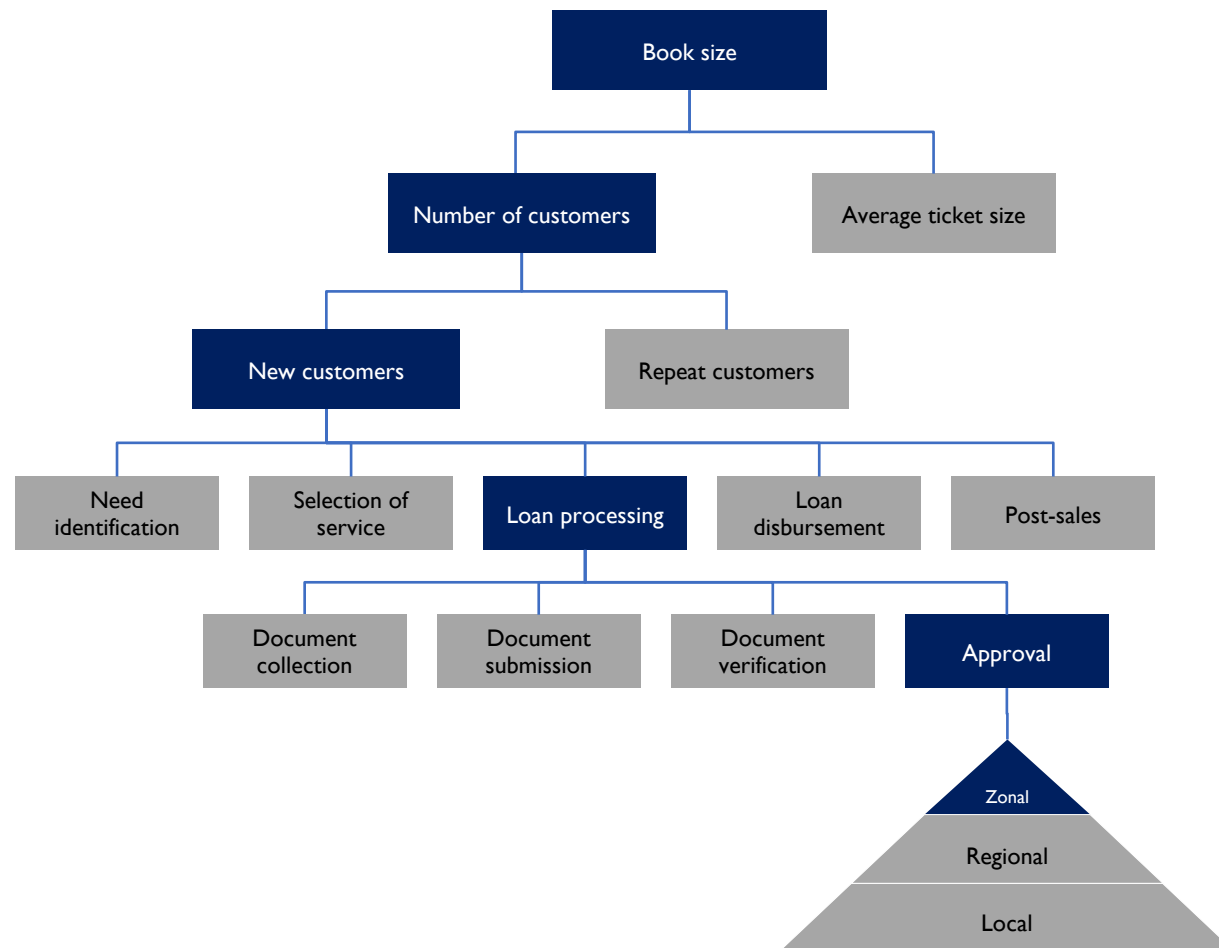
Home Loan Provider

Your client is an affordable home loan provider whose book size has remained unchanged for the last 8/9 months. What do you think are the reasons for this, and what can we do to help them?

Interviewee Notes

- Profitability case to diagnose revenue stagnation
- 2 levels of customer journey need to be analyzed to diagnose the problem
- Process analysis indicates the reason why turnaround time has increased

Approach / Framework



Case Facts

- Client is an affordable home loan provider with ticket size ~10 to 15 lacs
- The client diagnosed the problem in the processing stage for the loans
- New layer of personnel added to the approval process, increasing the turnaround time

Recommendations

- In the short run – Analyze the abnormalities being identified by the zonal approver to remedy the problem at the source
- In the long run – Online/app-based set-up so the turnaround time for the entire process can be reduced significantly

Key Learnings

- The candidate did a good job of bifurcating the problem into demand-driven issues and supply-side issues even if the problem arises only in the demand side
- The candidate displayed industry knowledge when breaking down the customer journey during loan disbursement – having a fundamental grasp over different industries always helps

Ice Cream Manufacturer – Interview Transcript

Your client is an Ice Cream manufacturer. Last September, they launched a new product. Although the product initially grew well, profits are now decreasing. Find out the reason and suggest a solution.

Okay, understood. Let me start out with some clarifying questions. Could you please elaborate on what functions of the ice cream value chain we operate in? What are our raw materials and final products?

As mentioned, your client is an ice cream manufacturer. They use milk as their raw material and sell ice cream bars, cups and tubs through standard wholesalers and retailers.

Where is the client located and what areas do they cover in sales?

Our client has a central manufacturing facility in Chandigarh. Sales area is limited to the North Indian states of UP, Punjab, Haryana, MP and Rajasthan.

Could you please elaborate on what the new product is?

It is a new flavor which is being served in an easy to eat packaging.

What has been the quantum of profit decline and the time since we have been experiencing it?

We don't have the data for how much. The profits were on the rise in the first 6 months. However, since the last 6 months, it has been decreasing.

Understood. Is the profit decrease driven by total revenue or costs?

The costs have remained the same. The revenue has been decreasing.

Okay. Is the decrease in revenue due to the decrease in volume or average order value?

The average order value has remained the same. The sales volume has been decreasing.

Is it an industry wide issue or is it just affecting us?

No. The sales in the industry have remained the same. It's just our product which is seeing a declining sales.

Listing out some of the factors that can lead to a decrease in demand for ice cream, has there been a change in flavors offered or outlets used?

No. All these factors have remained the same.

Is there a change in the margins we offer to retailers or the placement of products in these outlets?

No. Both have remained the same.

Understood. Looking at it from the customer's perspective, if the product has remained the same, there must be a change in the customer preference. Has there been any new marketing effort or change in any campaign?

No. The marketing efforts and campaigns have remained the same.

Examining the other factors affecting consumer's preference, has the manufacturing process or site of ice cream changed?

The manufacturing process has been the same.

Understood. Is there a seasonal distaste for our product due to weather changes?

Not distaste but customers have reported changes in experience.

Any details on the change in experience?

No, we don't have that data. What factors do you think can lead to it?

Is our product's taste negatively affected by higher temperatures during summers since sales have been decreasing since March or April?

Not taste but consistency, yes.

Oh, understood! Is our product requiring lower temperature maintenance while eating?

Correct. The new packaging requires a 2-degree cooler refrigeration.

So, the decrease in sales is due to a melted product since standard fridges at retailers don't have the lower temperature that the product requires.

Right, that is the key reason.

Understood. Should we move onto suggestions?

Yes, we may.

According to me, we can proceed with three approaches. Firstly, we can invest in R&D to decrease the required limit of refrigeration. Secondly, if the packaging is not a huge differentiator, and customers like the product for its flavor we can offer it in standard packaging. Lastly, if the packaging is important, we can sell the product through cloud kitchens online to maintain our own supply chain and control over refrigeration.

Ice Cream Manufacturer

Your client is an Ice Cream Manufacturer facing decline in profits.

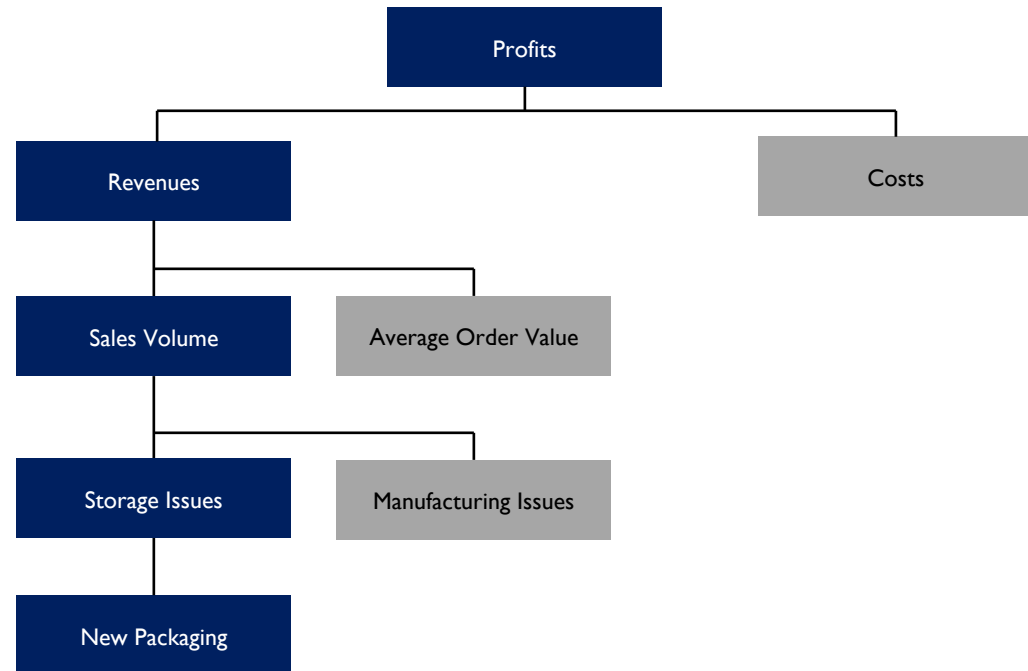
Interviewee Notes

- Clarify the nature of the new product introduced.
- Asking if a particular geography, type of product, or customer segment is leading the decline is a great way to narrow down to the root cause based on the case.

Case Facts

- Client is an Ice Cream Manufacturer operating in North India.
- After introducing a new offering, the client is facing decline in profits.

Approach / Framework



Recommendations

- Invest in R&D to develop ice-creams which can be stored at higher temperature
- Revert to standard packaging
- Distribute through cloud-kitchens to maintain control over refrigerators

Observations / Suggestions

- The revenue could have been further broken down more systematically into demand and supply side issues before deep-diving into production and distribution related factors

Credit Cards (Banking) – Interview Transcript

Your client is a fintech company. Their profits have been dropping over the past six months. Identify the issue and suggest recommendations

Okay, by what percentage have the profits dropped?

We don't have the numbers with us yet but it's a significant drop

What kind of services does the company offer & do we see a specific segment where the drop is in?

We issue credit cards in collaboration with a bank. Our motto is easy access to credit.

Where does the company have its presence, geographically & what is the target customer group?

We have customers all over India and in line with the motto, we are a little less stringent compared to industry standards. Salaried & Self-employed are our target group

Have you seen any new players in the recent times competing in the same space?

Yes, there are new players, and they have similar products out there.

Has the hit been on revenues/costs or both?

It's on both, but the drop in revenues is higher, hitting our bottom line hard. Why don't you list the different revenue streams you'd consider?

After me pointing out a few, my buddy helped me make it exhaustive (more as an educative case when we were on this part). After this part; he wanted me to focus on interest payments.

Interest Income = # of customers * % of customers opting for no interest/interest

products * Interest Amt/Transaction * Mix of Customers

The mix of customers is to indicate the risk profile of the customers.

This sounds fair. For us the percentage of customers who default/delay (bad customers) has increased. Can you think of reasons why this has happened?

It could be because of Initial Risk (the profile of customers targeted has changed, macro-economic factors such as COVID, collection efficiency, policy changes etc.)

Why don't you think this through the process cycle of issuing of credit card? Also, it is not to do with the macro-economic factors.

Sure, let me take a quick minute. We can break down the process into three stages:

Application Stage, Usage Stage, Repayment/Collections Stage.

Application: From existing/new customers to loan sanction

Usage: Loan credited and proceed to the due date

Repayment/Collections: Delay leading to partial or full default with different paths.

Any specific area that you would like me to zoom into?

Let's look at the application stage. Walk me through the process for the same?

New/Existing customers apply for a credit card and the application is initially screened by the officer who gets the application. Information collected here would include KYC, income sources, assets, other loans, etc.. Based on this information, we run this through internal risk profile analysis, which might combine this information with other information that's available with the bank & the internal company policies which then leads to acceptance/rejection. If accepted, the credit limit is decided based on the loan amount requested, repayment period, etc. Then the card is delivered.

Sounds good. We have expanded our offerings to rural segments which is new for us. Based on this information, can you think of potential issues leading to delay/defaults?

At the stage of credit assessment, the existing policies might not work for rural segments because of differences in customer profiles and risk assessment procedures. Starting with KYC, the other data needed to assess the risk might not be readily available. So, it could be due to a lack of data and lack of the right risk assessment procedures, which could create issues. At the stage when the credit becomes overdue,

External factors: Accessibility of customers

Internal factors: Number of resources to follow up with customers (virtual, physical), efficiency of resources

You are right. For this new segment, we do not have similar data as we have for our urban customers. So, our risk assessment is not easily possible. Also, on the accessibility front, we did not increase our % fleet on ground, leading to drop in collection efficiency. With additional costs which is not getting translated to revenues, it's hitting our bottom line. Can you think of suggestions to improve the situation?

Sure. In the short term, we can partner with 3rd party collection agencies who can support our collection teams efforts. Long term, we can have our own team.

On the data front, we can increase the use of analytics to profile the customers better. We can include physical checks (with our renewed fleet on ground) & capture more data points that will help augment our procedures. Also, we can look into the industry benchmarks for data collection which private banks follow when catering to rural customers.

Good ideas. We can close the discussion here.

Credit Cards (Banking)

Your client is a fintech company. Their profits have been dropping over the past six months.

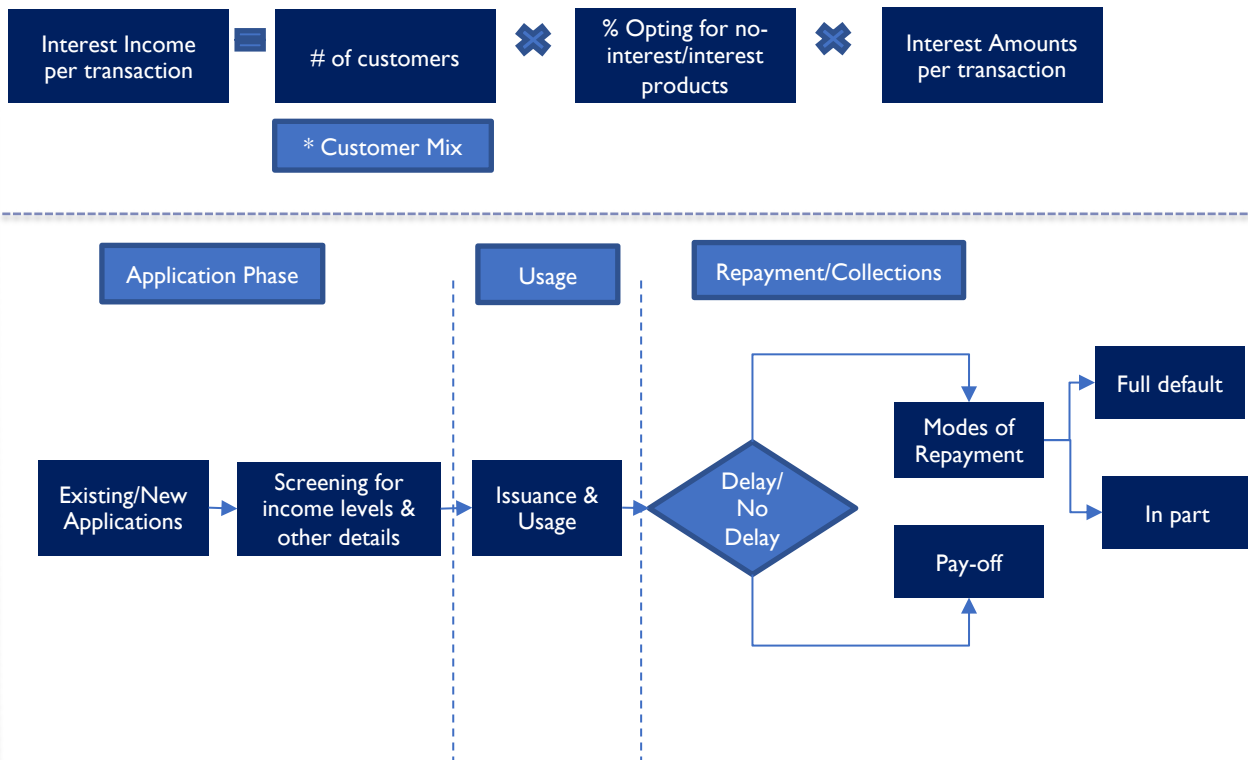
Interviewee Notes

- It is important to recall the general banking industry and customer segmentation in mind
- Took a formula-based approach to capture the factors for the revenues
- Had to later go through the customer journey

Case Facts

- Credit Card company facing an issue with revenues for 6 months
- Easy Access to Credit
- Pan-India presence
- Salaried & Self Employed

Approach / Framework



Recommendations

On the recommendations front, the interviewee could have shown some depth:

- Nudges before the due date (simple short-term), calling, auto dialog (first reminder), fleet on the ground (outsourced/own)
- On the data front – alternate data sources such as utility bills, social media information, etc. can be tapped.

Observations

- Interest income from two sources could be considered – interest from customers defaulting on payments and interest from EMI convertors.
- Could have asked how we sell our credit cards – outlets/digital-first etc. (customer acquisition channels). This could have helped in the case.

EV Manufacturer – Interview Transcript

Your client is an automotive company looking to launch into the EV space. They want you to help them decide when they should start electric vehicle development.

I want to restate the requirement for clarity. My client is an automotive company that currently does not have any product in the EV segment. They are looking to enter the same and want us to determine the right time to do so.

Yes, that's correct. To elaborate further, they don't want to develop too early when there is insufficient demand as there would be costs of unsold inventory. Neither do they want to miss the early mover advantage. They want to time the launch as closely as possible with the rise in demand.

Okay, can we assume that the client has done the necessary research and can accurately calculate the time to market?

Yes, that's a fair assumption.

So, I'd like to start with a few preliminary questions. Which geographies does the client operate in? What is the product portfolio of the client? What segments of the market do they currently operate in, and what is the company's market share in each of them? What does the competitive scenario look like?

For simplicity, assume there's just one market where your client commands 50% of the share in the 4-wheeler category. The remaining is split almost equally among 3-4 competitors. The existing product portfolio is not relevant to the case, so feel free to assume anything.

Since Got it. Is the new product being launched in the 2-wheeler or 4-wheeler segment?

It is going to be in the 4-wheeler segment.

All right. Since we want to time the launch with the rise in demand, I want to start by analyzing the types of demand. I would split demand into want-based and mandated / need-based demand. The former refers to the value derived from owning an EV, such as social status and/or public fame. In contrast, the latter refers to demand generated due to mandatory laws or economic viability. Does that look reasonable?

Yes, it does.

Great. So, we can now delve deeper. The want-based demand refers to the 'total value of ownership' and is only relevant if owning an EV is not mainstream. Thus, it does not significantly contribute to the kind of demand we're interested in; we can focus only on the need-based demand.

That's a great insight. Please continue.

Okay, so need-based demand would reach desirable levels when the 'total cost of ownership' of an EV is lower than that of a regular vehicle. This will happen in two scenarios:

1. if there are government-implemented policies, which includes:

- Tax breaks on EVs
- Fines on regular vehicles

2. if the natural cost of an EV falls below that of a regular vehicle

That makes sense. How do you want to proceed now?

Unless we have more information about government-implemented policies timelines, I would like to proceed with analyzing it basis the natural cost of EV.

How can one calculate the natural cost of an EV?

So, we can split it into an initial fixed cost and a running variable cost. Fixed cost consists of the purchase cost of the vehicle, while the running variable cost includes charging, power and maintenance costs.

Good. Now imagine that an electronic car costs 50% more than a regular one, x , but has $1/3$ rd the running cost, y (including power, maintenance etc.). What kind of consumer would prefer the EV?

Okay. In that case $(3/2x + 1/3y)$ should be less than $x + y$. Solving the equation, $3/4x$ should be less than y .

That makes sense. What is the inference that you can draw from this information?

The consumer would prefer an EV if the total cost is less than a regular one. On calculation, it is a better decision if the consumer's lifetime usage of the car exceeds $3/4$ times the ratio of the fixed and running cost of the regular car (non-EV).

Sounds good. Let's end the case.

EV Manufacturer

Your client is an automotive company looking to launch into the EV space.

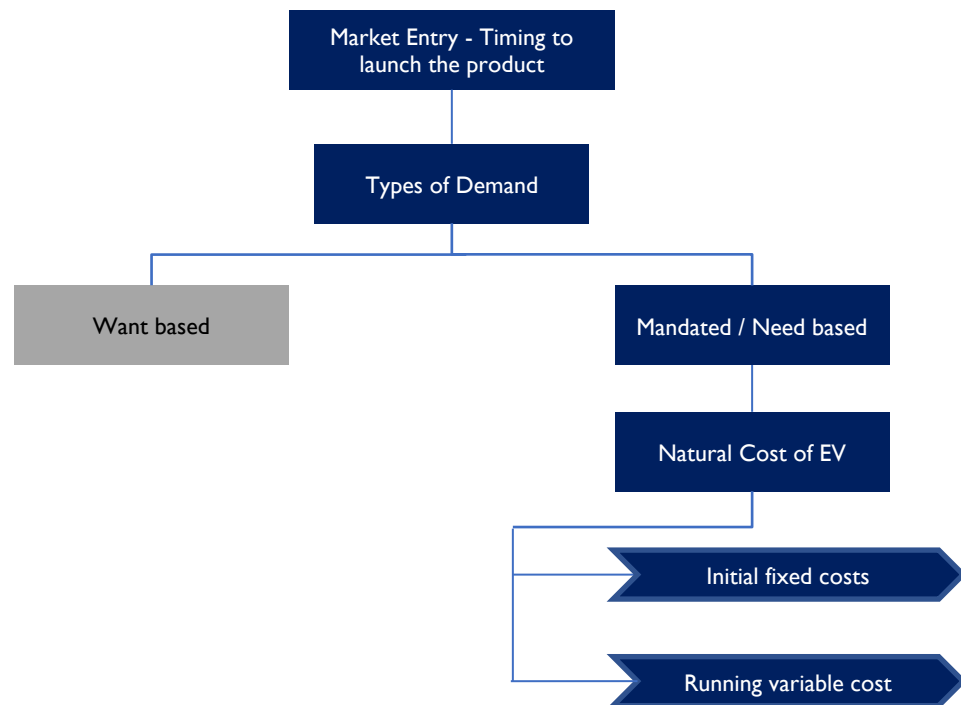
Interviewee Notes

- It is important to ensure that the launch does not happen too early nor too late
- Focus on mainstream demand so that launch is successful

Case Facts

- Client is an automotive company in 4-wheeler segment
- Commands 50% share in 4-wheeler segment currently

Approach / Framework



Recommendations

- The client should time the launch of the product based on mandated / need based demand as the want based demand would not be a sizeable demand
- The launch should happen when the consumer's lifetime usage of the car exceeds $\frac{3}{4}$ times the ratio of the fixed and running cost of the regular car

Observations / Suggestions

- The candidate has done a good job classifying the types of demand and further concentrating on mandate / need based demand which would be more commercially viable
- The candidate could have delved further into want based demand and its feasibility as it would open an opportunity for premium pricing during the initial phase of EV vehicles

Fantasy Gaming App – Interview Transcript

Your client is an Indian digital gaming company that wants to enter the fantasy gaming space. They have approached you to evaluate the venture and determine the feasibility of their entry strategy.

Sure, I would like to the client's reason for venturing into the fantasy gaming space.

The client has existed in the digital gaming space for 7 years and is witnessing a stagnant user growth rate of 2% annually. They want to capitalize on the new fantasy sports market growing at 20% annually.

Okay. Can I know what kind of digital offering the client currently provides?

The client has a casino app with games such as Poker, Roulette, and Blackjack.

Great, now I would also like to know how the company generates revenue through this app.

The app makes money from advertisements and In-app purchases for game coins. The regulations don't allow real money to be used in the app as that would be considered illegal (gambling). The client is cash-strapped due to revenue stagnation & increased marketing costs to fight similar apps.

Okay. Is there any information available about the customer segments, say, basis age groups?

Sure, 35% of the users are less than 18 years old, 50% are in the bracket 18-50, and 15% are 50+.

Can I know what the client plans to offer with the new fantasy gaming app? Also, are they considering using real money, unlike the previous application?

The client wants to focus on fantasy football during the first year. You are correct in assuming they can use currency to build teams and play against different players, per new legal guidelines. However, users must complete the KYC process before joining. The app takes a 10% cut per game.

Thanks for that. Can I also know about the other players in the fantasy gaming industry?

It's a nascent market. However, 5-6 players have a similar offering but exclusively to cricket.

With that, I would want to know the entry strategy the client is considering.

They offer Rs. 200 worth of coupons to the players on the casino app to try the new game. Users can link their mobile wallets and use the coupon to add money to the app. They can redeem it after a stipulated time, given that they've played enough games. Why don't you tell me how you begin evaluating this move if the client wants to recuperate this investment in one year?

I would first check the financial feasibility of this strategy and then highlight the operational risks.

Please go ahead.

For this strategy to be economically feasible, the 1st year's revenue should equal the total amount invested in the coupons to break even.

Yes, you are right in this assessment. Please proceed using this approach.

Sure, I would take the relevant market size from the casino app. The factors I would consider (in order) are – a) Eligibility b) Awareness c) Affordability

Sounds good. Please help me with these factors and the further process.

Sure. Out of the 10M users, I would determine those who can legally play on this app due to underlying factors like age and KYC documentation. Since fantasy gaming is only legal for those above 18, we can only consider 65% of users. Out of these 6.5M users, I would look at how many users are interested in football, so they'll be motivated to play the game. Then I will consider affordability constraints. Can I know if any data is available regarding the same?

With a few surveys conducted in the past, the client determined that almost 20% of casino app users followed football regularly and were interested in fantasy sports.

Sure. It leaves us with 1.3M users. However, we should only account for the users who can afford to bear the financial risk of wagering their own money after the coupon amount is used.

The client estimates this number to be 40%. Very quickly, what factors do you think govern this ratio?

There can be multiple reasons such as – age group (elderly tend to have low levels of leisure spending), income group (low and very high-income groups would not be able or interested in spending in the app), confidence in knowledge of football, time available to keep up with the game, etc.

Sounds fair. Please go ahead with your analysis.

Accounting for all of these, 520k users is our obtainable market. Some users would not be sticking for the whole year. Do we have any estimates for the churn rate?

Yes, using similar apps' benchmarks, we can assume that 20% of users will churn out.

It leaves us with ~400k users. I will now calculate ARPU. Do we have any information for the same?

The estimated average user spend is Rs. 1500 per month.

Sure. The app makes 10% per game. For the whole year, this translates to Rs. 1800 per user. The total revenue is $1800 * 400k = \text{Rs. } 720 \text{ M}$. The total cost is based on the total obtainable market is $200 * 6.5M = \text{Rs. } 1300 \text{ M}$. This strategy isn't feasible if the client's objective is to break even in the 1st year.

Let's assume the client decides to go ahead with this strategy even with an extended payback period. How would you evaluate the operational risks associated with this move?

I would categorize risks as app-related and external risks. For the app-related issues, I would classify them into 3 more buckets – a) Pre-customer acquisition b) During c) Post-acquisition to explain the risks leading to customer attrition. For a) we consider product risks and financial risks. Product risks include complicated redemption process or unattractive coupon amount, underwhelming user reviews on the app store disincentivizing potential users, and low product visibility. Financial risks include a high capital requirement and substantial fixed costs before the app is operational.

Sure, let's also consider phase during operation as well.

Great. During phase can be segmented into product-related, and competitor-related risks. Product risks include a bad interface, app crashes, loss of user data & security concerns, and complex transaction process. Competitor-related risks can be similar apps imitating the product, scams resembling the product, and bigger players extending their offerings to include football.

Sounds good enough. What about the external risks?

Sure. The external risks can be bucketed into Legal, Social, and Technological risks. Legal risks concern authorities and regulations around fantasy gaming and using real money. Social risks include social backlash, bad press, users gaming the system to redeem rewards without participating, etc. Technological risks include internet penetration, app availability on different platforms, computation speed and efficiency expectations.

Great, I think we can end the case here.

Thank you for your time.

Fantasy Gaming App

Your client is an Indian digital gaming company that wants to enter the fantasy gaming space.

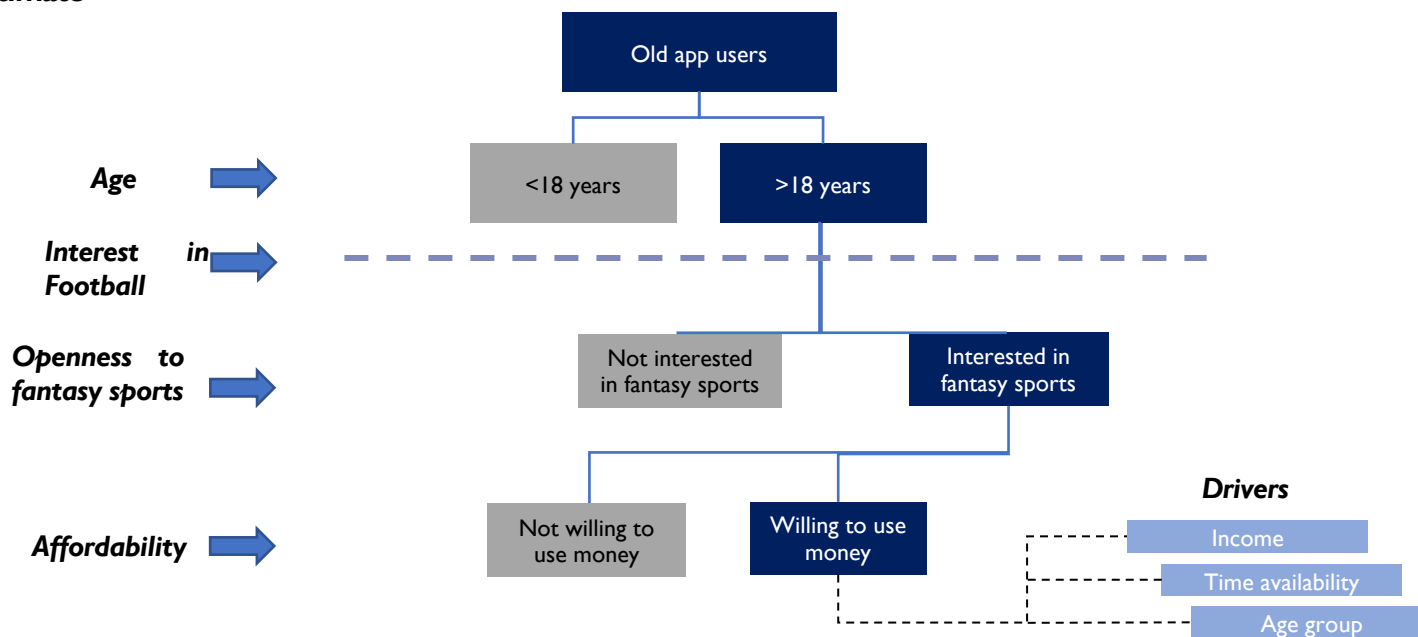
Interviewee Notes

- This case needs a quantitative analysis to evaluate the entry decision
- The client has the option to leverage their position in the digital gaming space to enter into fantasy gaming space
- Decision has to be evaluated on the basis of economic feasibility

Operational Risks



Guesstimate



Case Facts

- Client already exists in the digital gaming space
- Client wishes to offer Rs. 200 / user to try new app
- Values of filters related to affordability, availability, and eligibility provided
- Market research suggests that an average user's monthly spend is Rs. 1500

Recommendations

- Since the objective of breaking even in 1st year is not being met, the venture should not be undertaken
- With an extended payback period, risks both internal to the product as well as the market risks need to be considered

Key Learnings

- Considering that the decision is based on quantitative analysis, it is important to extract all the numerical data from the interviewer
- Be communicative and run the approach through the interviewer before initiating calculations to address any concerns the interviewer might have post-analysis

Airport Operator – Interview Transcript

Your client is an airport operator. They have been seeing a decline in Revenue due to regulation. Please help them figure out how to grow revenues.

Can I start by asking a few questions to understand the client and the situation better?

Sure.

My understanding of an airport operator is a company that manages civil airports. I hope this is correct. Where are the client airports located, and how many airports do they operate?

That's perfect. It operates 4 airports, 2 are big international airports (like Mumbai) and 2 are domestic airports in Tier-2 cities.

Great, we also know that the decline in Revenue is due to government regulations. What exactly is this change in regulation?

So, by contract, the operator is supposed to share a percentage of its revenue with the government. The government has increased the cut that it takes from the operator by more than 30% and this will be implemented starting next year.

Understood. Does the operator have any other businesses or stakes? And should we only focus on revenue growth in these 4 specific airports for this operator or are there any other aspects we should be on the lookout for?

Yes, this sounds good. The company only operates these 4 airports.

Perfect. Can I please take half a minute to chalk out my thoughts?

Sure, take your time.

Okay, I will split the revenue for the airport operator by source into the following:

1. Revenue from passengers
2. Revenue from airlines
3. Revenue from other third parties

From passengers, it will consist of 4 major heads: Airport fees, Add-on charges, Fines, and Visitor entry tickets.

From airlines, the revenue can be divided into flight and non-flight revenue.

We can further explore revenue from third parties in depth later. Am I missing out on something?

No, sounds good. Let's start by analyzing each of the heads that you mentioned and look at ways to increase revenue.

Starting with Passengers, I'll go with Airport Fee. Airport Fee is a function of the number of passengers multiplied by the fee per passenger. The number of passengers will be driven by capacity, but this will involve heavy capital expenditure and support from airlines and is rather long-term. So, we can focus on increasing the airport fee per passenger. This will further be dependent on 3 factors: The elasticity of passengers to airport choice, support from airlines for an increased airport fee, and any government regulation on the fee. If we have no major roadblocks in all three, I think we can go ahead and increase the fee. For the other three sub-heads like Add-ons...

I think the other ones are self-explanatory. We can jump to the Revenue from Airlines.

Sure. Airline revenue can be flight related or non-flight-related. Flight-related will consist of 4 heads: A fixed license fee, a landing slot fee, utility charges, and a hanger fee. The fixed fee will be a license for the right to operate airlines from the airport. We can increase the flat base rates here. The second head, Landing Slot Fee can be charged by airlines basis improved services like prime-time slots, aerobridge access instead of boarding by bus and right to fly more flights from the airport. Under the third head of Utility charges, airlines can be charged for the fuel and maintenance. The last head, hanger fee will be for parking aircrafts for longer durations in airport hangers. This can be split into the number of hangers multiplied by the occupancy rate of the hanger multiplied by the fee per unit time per hanger. We can work on increasing any of these based on discussions with airlines.

What are the non-flight revenues you have in mind?

These can be of 2 types: fee for ground service equipment like baggage trucks, luggage belt access, etc and ATC (air traffic control) fee.

Okay, what do you think will be the major sources of revenues from third parties that you had stated?

Sure, third parties can be of 3 types: Retail outlets at the terminal, Transport related and Ad revenues. Under outlets, these can be F&B, goods-related or lounges. The total revenue here will be the capacity of outlets multiplied by the occupancy rate multiplied by the rental rate. We can increase any of these, especially in the 2 international airports that we operate since these will witness a higher footfall of passengers. Thus, higher occupancy can be targeted, and rates can be increased by seeing a higher willingness to pay by clients for outlets at large airports. Rates can be kept minimal at the 2 smaller airports.

Great. Let's move on.

Under transport, we might have contracted cab services, ride-hailing apps, and bus services for commuting to the cities. We can work on increasing the fee from these players basis demand for their services from our airport's passengers and the competitive environment among these parties. For ad revenue, the total revenue will be a function of the total number of ad spots or ad area, the occupancy and the revenue per slot (rate).

Do we have any numbers of the current occupancy?

It's currently around 90% for international airports.

And what about similar airports by other operators?

Around the same.

Oh, so since the number is nearly the same as the industry benchmark, we can either target a 100% occupancy rate, or more importantly, work on increasing the number of ad slots by having more hoarding space or installing electronic ad screens.

This sounds like a comprehensive break-down. Thanks a lot, we can close the case.

Airport Operator

Your client is an airport operator looking to grow revenues

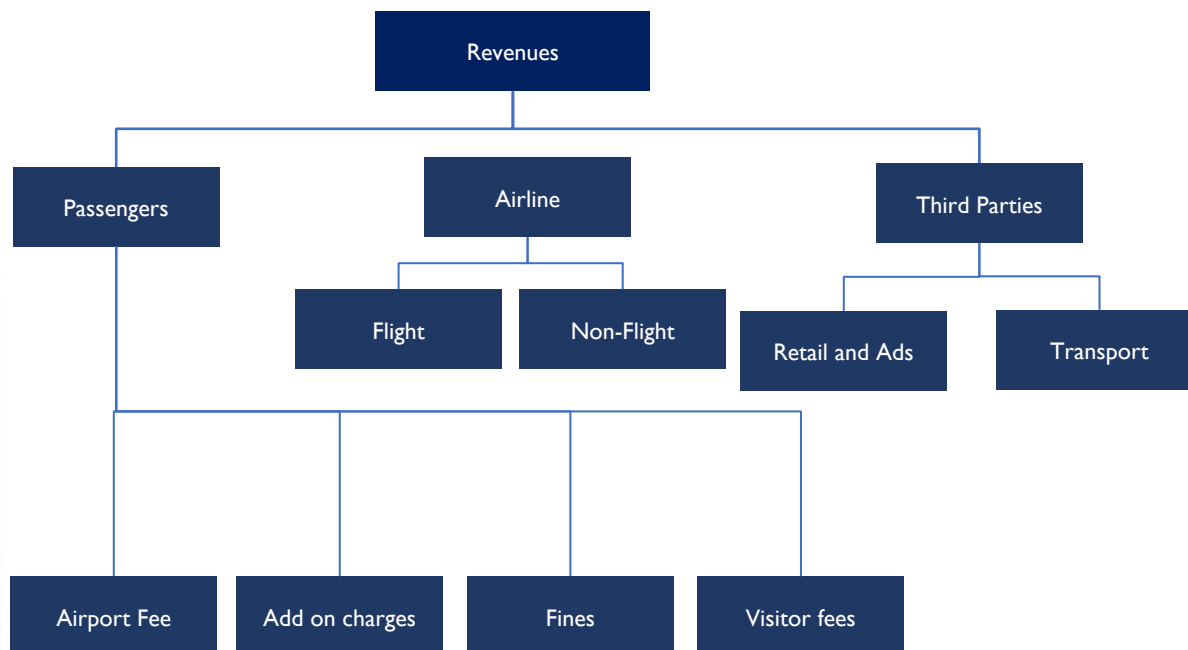
Interviewee Notes

- Do a comprehensive MECE of the different revenue streams
- Ask about industry benchmarks and give recommendations to match them (if they are higher than the client's revenue numbers)

Case Facts

- Client is an airport operator facing revenue decline due to an increased revenue share demanded by the government
- To make up for the above decline they are looking for avenues to increase revenues

Approach / Framework



Recommendations

- Airport charges can be increased based on the elasticity of the customers
- Revenue from third parties via retail and ads can be increased by marketing higher footfall and buying propensity of the customers

Observations / Suggestions

- The candidate has done a good job in understanding and structuring the different revenue streams for the airline operator
- Think of value-add services that can be offered and which can add to the client's revenue

Medical Equipment Division – Interview Transcript

Your client is an established pharma manufacturer. They have come up to you to assess their medical equipment wing and help them grow in the field.

To start with, can you help with more information about their current business? What is the current range of products they deal with? How prevalent are they in the medical equipment sector in particular?

They are mainly present in the drug manufacturing business. They expanded their business and entered the medical equipment industry a few years ago but mostly specialize in small-scale equipment used in hospitals, pathologies, etc. They are one of India's top 5 players in both industries.

For the medical equipment category, the majority of clientele are pathologies, hospital chains, etc. Besides, there are self-testing kits that are used mostly at an individual level. Are we present in both categories? If yes, how are our contributions distributed between the two?

Good question. They mostly specialize in the B2B medical equipment category and sell it out to laboratories. They do not manufacture self-test kits as of now but given the large-scale prevalence of diseases such as Diabetes in India, they are looking to explore that option. They would want you to help them analyze if that is a viable expansion option.

Sure. What does the competition in the current market look like? Is it a locally controlled fragmented market, or does it have major national players?

Given the specific nature of these self-test kits, let's say a Glucometer, for instance, it is very difficult for small local players to establish themselves. The market is mostly dominated by a few national-scale players.

Perfect. Given that we are a major player in the drugs and B2B medical equipment already, I would want to explore if entering the B2C medical equipment category is a viable growth option or not. Once I do that, I will come back and explore growth options in the other two categories.

Sure. Go ahead.

To analyse the venture into the B2C medical equipment category, I would look at it from two perspectives. I will start with an economic analysis of the proposition - understand the potential customer segments, size the market and estimate the financials. I will next move to the operational analysis of the proposition - look at any major bottlenecks in setting up the end-to-end value chain, amongst other things.

Sounds fair. Let's say they have the preliminary analysis and have found the market to be an exciting opportunity. They would want you to jump to the operational aspects and analyse any foreseeable barriers.

Sure. In setting up the business, the potential barriers/issues could be at any of the stages, Regulatory permits for manufacturing -> Machinery investments/sourcing for manufacturing -> Manufacturing process limitations -> Distribution network issues

If there are no issues on any of these fronts, we need to analyse the customer pull and issues on the demand side.

They do have the requisite permits and can use our existing setup to manufacture the new equipment. Let us analyse the customer pull you mentioned. What would you consider to ensure there is sufficient demand for the product?

For a mature market of medical equipment, the market demand will always be there. What is important for us is to capture a larger pie of it.

I would want to analyse it from an individual customer's perspective and see how we can gain a significantly large market share.

How would you approach capturing a larger market?

1. I would try and use our current network of sales representatives, and for a start, merge this with the sale of pharma drugs. The sales representatives, as they do for other drugs, will be expected to push for these equipment in their visits to the doctors. This will help us leverage our existing brand to expand the sales of the new equipment. And also allows us to target the right customer directly.

2. I will also make it available online and, through forged contracts, push for our product on marketplaces like Amazon, PharmEasy, etc.

3. Medical test kits also have a small refill cycle. Using data to optimize and send periodic reminders, say for testing strips of a Glucometer, they can try and ensure repeatability.

That sounds good. We can close the case here.

Medical Equipment Division

Your client is an established pharma company, seeking help to assess and grow their medical equipment division.

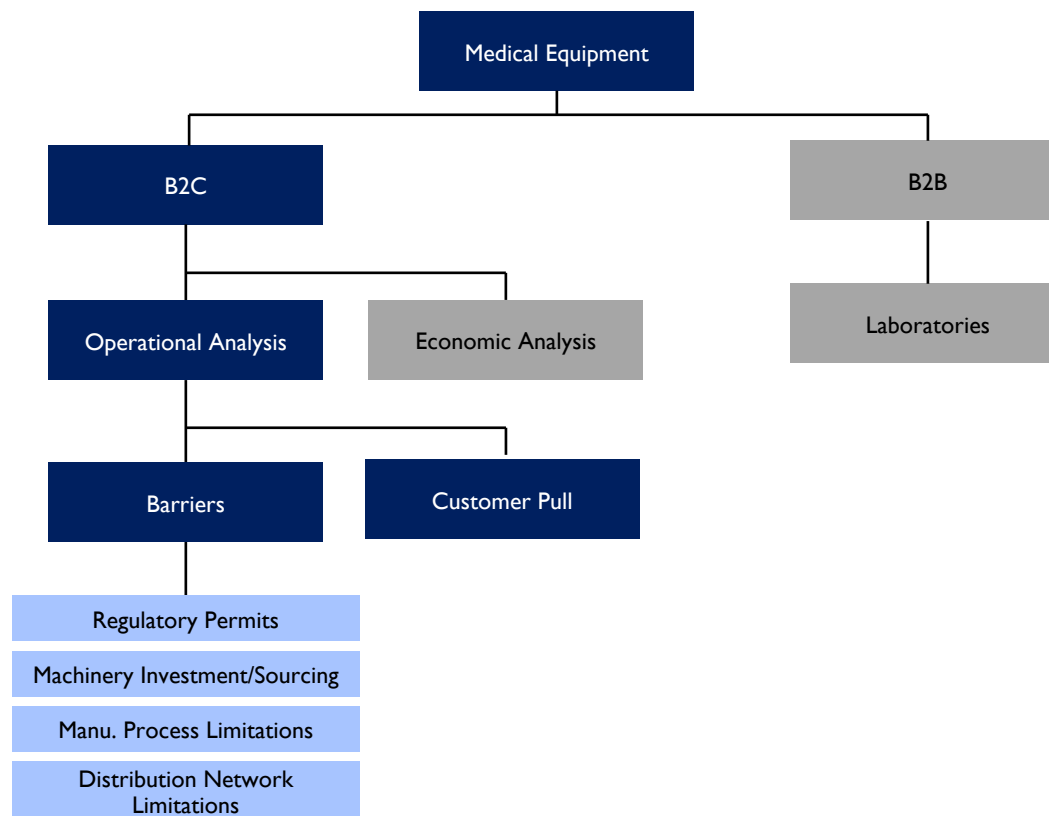
Interviewee Notes

- It is good to clarify what kinds of equipment the company sells and to what types of customers?

Case Facts

- Client is a pharma company, mainly into the drug manufacturing business, but seeking to grow the medical equipment division.
- They are willing to explore venturing into B2C category for individual users.

Approach / Framework



Recommendations

- Leverage existing MR network to push sales to doctors and target individual customers
- Sell via online B2C online platforms such as PharmEasy
- Send reminders for refills to enhance repeat sales

Key Learnings

- A bit of pharma-specific knowledge goes a long way in arriving at pointed suggestions and pinpointing problems.

Steel Manufacturing Firm – Interview Transcript

Our client is in the steel industry. He provides a particular raw material to the steel plants. Recently his son, who is a tech enthusiast, wants to sell this business and start another venture where more modern technologies are used. What would you recommend to our client?

I would like to understand the scenario a bit better. When we talk about raw materials, are we referring to some specific product?

So, it is a form dust that is present in mines which our client rents out on a contract basis. It is a readily available product and there are over 50 players in the region who do the same. The product has no differentiation in any aspect.

Got it. I would like to understand the business of the client further. Does our client only collect and transport the dust or is there any process involved before we handle it over to the client?

Yes, our client processes it in their small factory where the dust is converted to pellets which is then transported to the steel plants.

You mentioned it is a small factory, how many potential customers does our client have?

There are around 10 steel plants to which we cater to.

What is the market share of the client in this region?

There are 20 steel plants present in this region.

That means we don't have much bargaining power as suppliers.

Yes, that's a great insight. How do you want to proceed further?

Now that I have good understanding of the client's business. I would want to know further about the venture of the client's son. Why is our client's son stressing on changing the business line? Also, what does he mean by modern technologies, and does he have any business already in mind?

He feels that the modern industries are using technologies such as big data, ML, AI, etc which help generate higher profits as compared to the current industry his father is in. He doesn't have any specific vertical in mind. He is just fascinated by all the modern technologies.

Got it. Is it safe to say that he is more interested in the application of technology be it any industry?

Yes correct.

That gives a fair idea about the owner's dilemma and objective. I would like to break my approach into three parts:

1. I would like to evaluate our current business and see if there's any scope for improvement in our performance by the application of all modern industrial technologies
2. I would like to evaluate the valuation of the firm and chalk out potential buyers
3. Lastly, I would like to analyze industries which are dominated by modern technologies and check which ones we can enter

That seems like a good approach. For now, you can ignore the second and third part and only focus on the first one.

Sure sir. I would start by analyzing the business operations of the firm. Here, I will divide it into core & non-core operations and evaluate each step of the value chain to check possibilities for tech integration which will help increase revenues or decrease costs. Would you want me to focus on any part specifically?

You can start with the core part first.

Sure. So, the supply chain of our client would generally involve:

Getting orders from our clients → Collecting dust → Transporting it to the factory → Processes involved inside the factory → Transporting it to the warehouse → Transporting it to steel industries → Collecting payment and customer management

Do you think I should modify the supply chain in any manner or focus on any part?

This supply chain looks detailed enough.

Also is all of this done by the client themselves or any third-party involvement exists?

Also is all of this done by the client themselves or any third-party involvement exists?

So, I will look at each part, identify relevant cost measures and try to identify operational efficiency parameters and check if modern technologies can help improving these parameters.

Give me one example.

Sure. So, for transportation part, I will identify different cost headers such as fuel cost and labor cost, break it down into an equation and analyze further (interrupted by interviewer).

Can you write the equation?

Sure sir. I would start by calculating the total cost and I would then breakup each of the individual components.

Total transportation costs = No. of truck trips * Cost per trip per truck

No. of truck trips = $\frac{\text{Quantity to be transported}}{(\% \text{ Utilization of truck capacity} * \text{Capacity of truck})}$

Cost per truck can further be broken down into fuel cost and other costs

Fuel cost can be written as distance times fuel cost per km

This is very detailed. How do you want to proceed?

I want to analyse how modern technologies can improve each of these factors. For Example, if data can be leveraged to decrease the distance travelled. We can also check for optimization of the capacity utilization per truck. Do you want me to focus on any aspect?

No, I get your approach. It is quite detailed. Can you tell me few risks he possesses because of his suppliers (mining companies) and his customers (steel industry)?

Sure. Because this firm has little differentiation, I believe any backward integration by steel firms or forward integration by mining firms can be a threat to them.

How can he create the differentiation then?

Product differentiation is not possible. Service differentiation can be done.

Great. That'll be all.

Steel Manufacturing Firm

Your client is in the steel industry. He is considering to sell off his business and start a new venture.

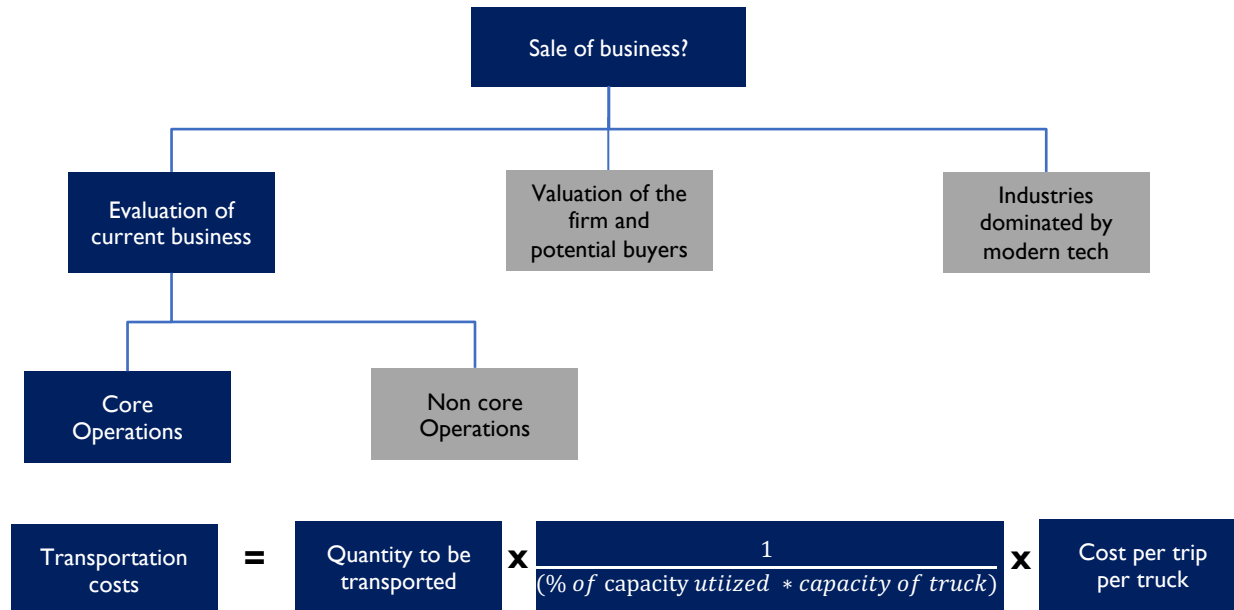
Interviewee Notes

- The new venture the client wishes to start would involve usage of modern technologies
- Client interested in application of modern technologies in any industry

Case Facts

- Client is in the steel industry
- There is no product differentiation
- Client is interest in the application of modern technologies without preference to any industries
- Client commands 50% market share

Approach / Framework



Value Chain



Recommendations

- The client should explore usage of modern technologies for cost optimization in the current business

Observations / Suggestions

- The candidate has done a good job clarifying about the current business and the motivations of the client's son before proceeding with the analysis
- Laying down the value chain instead of directly asking the interviewer adds brownie points
- The candidate could have explored leveraging modern technology to increase revenue

Hotel Business – Interview Transcript

Your client is a hotel based in Asia. The growth of your client has been relatively less compared to the market. Kindly identify the issue and provide recommendations.

All right. Which geography is the client located in and what is the market growth compared to us?

The client is based out of Thailand. The market is growing at 6% while the client is growing at 4%.

Is it fair to assume that the majority of our customers are tourists considering the location is Thailand?

Yes, the majority of customers are tourists traveling from Asia. There are individuals and families of size 4-5 members coming to the hotel.

Can you please share the split of the customers and the different revenue streams for the hotel?

The split is 50-50 between Individuals and Families. The revenue streams are Room Rent, Breakfast, and Tourist Services.

Is there any specific customer segment or revenue stream which is getting impacted for us as compared to the competition.

The demand for our hotel or nearby hotels hasn't changed much in the recent past. In fact, the no. of customers also visiting Thailand hasn't increased as per our estimates.

Is it fair to assume that this is happening due to some price changes in that case since the demand hasn't changed?

The prices in industry have overall increased by around 4% which we have done as well to stay in the market trend. However, the industry is growing at 6% as mentioned earlier.

Can you help me understand what pricing method per customer does the client use?

The Room rent is charged per room basis. The breakfast and tourist services are charged on an individual basis. We have increased all prices by 4%, keeping other metrics constant.

Is this method the same as the competition?

Yes, the industry standard is to charge this way and the prices for competition have also increased by 4%.

If the prices have increased by a similar percentage and the no. of customers hasn't changed, my hypothesis is that the breakfast and tourist service charges must be in line with the competition, and they might be outperforming us in rent per room.

That's a good hypothesis to look upon. You may proceed with this assumption.

What is the capacity per room and occupancy which we generally have over the year?

Our capacity is 2-4 people per room, and our occupancy is nearly 70% across the entire year. However, the competitors' occupancy has increased to 80% in the recent past.

Considering the no. of customers is not increasing for anyone. Has there been any change in the room policies for competitors or for us recently?

Earlier, everyone allowed 2-4 people per room, including us. However, recently our competition decided to limit it to 2 people per room. We didn't take that decision as we expected customers to be attracted more towards our hotel having a family size of 4 and hence, preferring our hotel over others.

I understand. Since it is a competitive market and all hotels are located near one another, the case might be that the policy has benefitted the competition by allowing them to charge higher per family by splitting them into two rooms, increasing their occupancy and revenue. The same is not happening with us, and that is why we are unable to grow as per the market rate.

That's correct. So, what would be your recommendation for the client?

We broadly have two options. The first is to retain the current policy but charge a differential price for the room based on the number of people staying in the room. This would still be cheaper for the customers than booking two separate rooms in other hotels but also increase our revenues.

The second option is to update our policies and align them with the competitors. Assuming we don't have a very peculiar differentiation, it would make sense for us to update our policy similarly to the competitors to cash in on the industry-wide trend.

That's good enough. We can wrap up the case.

Thank you.

Hotel Business

Your client is a hotel in Asia that wants to improve its growth.

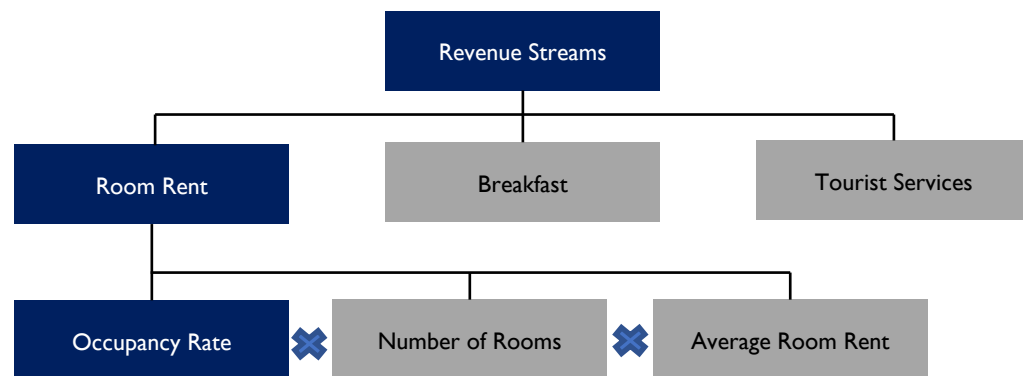
Interviewee Notes

- It's always a good idea to ask about all available revenue streams before making any assumptions
- Asking if a particular geography, revenue stream, or customer segment is leading the decline is a great way to narrow down to the root cause based on the case

Case Facts

- Client is a hotel based in Thailand that has been experiencing slower growth
- The industry is growing at 6% while the client is growing at 4%
- Major revenue streams are room rent, breakfast, and tourist services
- Occupancy rate is lower than the competitors

Approach/ Framework



Recommendations

- The client should change the policy to allow only two persons per room, as this would increase the occupancy rate and the revenue of the hotel
- This won't be an issue as all competitors are doing the same, so it's more of an industry-wide change

Observations / Suggestions

- The candidate did a good job in consistently benchmarking metrics against the competitors to reach the root cause
- The breaking down of the revenue could have been done in a more systematic way in terms of a mathematical formula

Viability of Chocolate Business – Interview Transcript

Your client is ITC, and they want to grow their chocolate business. At the partner meeting, the client wishes to present the profitability position of ITC's chocolate business in Bangalore compared to the category leader. Assist the client in evaluating the gaps and your suggestions on the viability of the proposition.

Okay. First, I would like to know more about ITC's objectives and where ITC's chocolate business is in terms of market share and operations.

ITC is a recent entrant in this industry. The client entered 2-3 years ago and has a 1-2% market share. They have started their chocolate business in Bangalore only. They want to create a B2C brand and capture a huge market share.

Okay, who is the category leader we are comparing with, and how are they positioned?

Mondelez is the category leader with 80 - 85% market share. The remaining market share is captured by Nestle, Ferrero, Mars and a few other players.

Okay. Regarding product positioning, I presume that ITC's chocolates are positioned as luxury chocolates, while the category leaders are typically in the mass market segment. Is that a fair hypothesis?

Yes, the category targeted is in the semi-premium segment while ITC's products are currently positioned as premium. The market share of the semi-premium segment (say, Mondelez's Silk) can be considered to be 10-20%.

Based on this information, I would like to know more about the customer segment split between B2B and B2C segments for ITC and Mondelez.

Mondelez's customer split is 80-20 between B2C and B2B respectively, and ITC currently has a split of 50-50 between B2C and B2B.

Sure. Considering this information, I would like to analyse the prices for ITC and the category leader. Do we have any data on this front?

Prices of Mondelez's chocolates are INR 1/gram, INR 2/gram and INR 10/gram based on whether it is a mass segment product or semi-premium segment product. What do you think will be ITC's prices in this comparison?

I think that since ITC is a premium product, its prices would be at least 2 times the price of the semi-premium category leader's product.

That sounds fair, Why don't you delve into the analysis.

Okay, would you like me to analyse both revenue and costs? Like a financial and operational analysis of sorts?

You can go ahead with the analysis of costs. We can close the discussion on revenues.

Firstly, there would be some set-up costs, including R&D, licensing, and food testing. There would also be fixed costs like employee costs. But for comparability purposes, we would want to analyse the variable costs in more detail and compare them with the category leader. Is that a fair assumption?

Yes, that sounds fair. You can analyse the operational costs.

The broad costs would be with respect to procurement, manufacturing, packaging, storage, distribution and sales & marketing.

Great. Let's discuss procurement costs and potential issues.

Sure. We can divide procurement-related potential issues into high raw material prices, storage problems, and contracting issues.

That sounds fair. ITC imports high-quality cocoa powder, mainly from Ghana. The category leaders source lower-quality cocoa locally.

There could be various risks in this case with respect to supply chain issues due to geopolitical, environmental and economic factors. Further, prices could also be high as ITC would source cocoa powder in relatively smaller batches.

That is fair. Let's move on to manufacturing.

I would like to understand more about ITC's manufacturing facilities as well as those of the category leader. Further, the manufacturing process has two factors - process and people.

ITC's chocolate manufacturing occurs only in Delhi since the land and facilities are set up in Delhi. Further, the chefs making the chocolate are also in Delhi. The category leaders have mass-production factories at various locations.

Okay, in terms of the process, I would assume that the manufacturing is done by hand in small batch sizes and requires skilled people. This could lead to high cost of operations due to underutilization of capacity and low efficiency that comes with handmade products.

Yes, you could say so. Moving on to distribution.

Distribution can be broken down into market served, online sales potential, logistics/storage and distributor network.

ITC chocolates must be maintained at a cool temperature, so they must be transported to Bangalore via air. ITC also needs to maintain a cold storage facility with its distributors.

This would make distribution extremely costly, further pushing ITC to either charge higher prices or earn lower margins.

That's true. Based on the above discussions, you can provide a summary and only ONE recommendation.

On the revenue front, ITC's business has lower volume, but higher value as compared to the category leader. However, market share growth potential cannot be commented upon as ITC operates only in Bangalore at the moment. Further, its main raw material, cocoa powder faces supply chain disruption risk and is costly. At the same time, the manufacturing process is also inefficient and costly. Further, distribution and logistics are tricky due to cold chain and air freight requirement. Based on a qualitative analysis, it seems that it would be unviable for ITC to gain market share in B2C business due to competition and costs. However, they can establish market share in B2B segment as businesses can afford high prices, can enter long term contracts, and enable customization as well.

That sounds like a good analysis. We can close the case here.

Viability of Chocolate Business

Your client is ITC, and they want to grow their chocolate business. At the partner meeting, the client wishes to present the profitability position of ITC's chocolate business in Bangalore compared to the category leader. Assist the client in evaluating the gaps and your suggestions on the viability of the proposition.

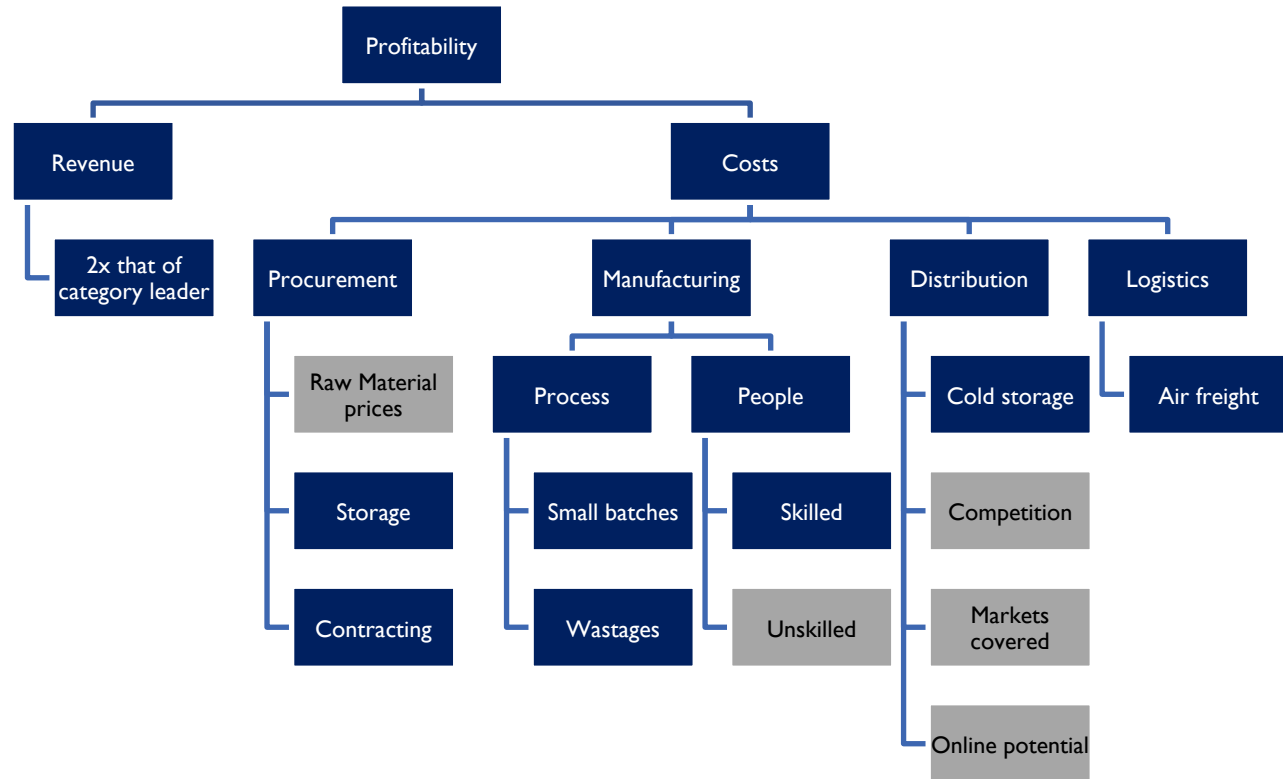
Interviewee Notes

- In an open-ended case, it makes sense to cover all aspects and articulate in a concise manner
- Confirm with the interviewer if you are in the right direction

Case Facts

- The client wants to understand their profitability position as compared to the category leader, Mondelez.
- ITC is a premium brand as compared to the industry which has majorly B2C semi-premium and mass-market brands
- High-quality RM procured from Ghana
- Manufacturing in Delhi and market in Bangalore
- Distribution requires cold storage
- Logistics via air due to nature of product

Approach / Framework



Recommendations

- It seems unviable to compete in B2C business
- Rather client should improve its hold in the B2B segment

Key Learnings

- In abstract cases, it is essential to ensure that the objective of the case remains in sight
- Periodic summaries and clarifying questions help to stay on track and understand what the interviewer wants
- Some cases are just an extract of a bigger problem, and no accurate conclusion is reached during the interview due to the absence of information. Then you are only being judged on your structuring and analysis. So be mindful of that

National Park Population – Interview Transcript

Your client is a national park owner and is facing a decline in the animal population. They want you to identify the reason for the same and suggest remedies to stop the decline.

So, where is the National Park Located and is it state owned or private? Also, since when are we facing the issue and what is the percentage of decline?

The National Park is based in California, US and it is a private owner National Park. We have been facing a decline since the past 7-8 months and it's a significant decline.

Is the issue related to any specific species and are all the national parks in that region facing the same issue?

That's a good question. The population of Red Fox has been declining. And this decline is specific to your client's national park.

Okay. That gives me a better idea. I would like to understand a little more about the species. Is it transported from some other place or is it a natural existing species? Is it a herbivore or a carnivore?

Red Fox is a naturally occurring species in this part of the United States and it is a carnivore.

Okay. Is it also safe for me to assume that poaching is prohibited in the National park?

Yes. You can assume that.

Okay. I think I have a fair idea about the problem. I would like to approach it by understanding if the decline is as a result of decreasing birth rate or increasing death rate. Do we know which one is it?

It is a case of both. I want you to focus on decreasing birth rate first.

Birth rate I would further like to break it into – Pre Birth, During Pregnancy and Post Birth.

Pre-birth relates to maintaining the necessary natural habitat, problems in mating.

During pregnancy relates to conceiving and nurturing and feeding of the carrying mother and;

Post birth relates to problems related to good vet or support staff who look after their health and food. Do you want me to focus on anything in particular?

That is a good structure. You can focus on problems with mating.

Pre Birth relates to problems with mating. Some of the reasons could be –

1. Mis match in the gender ratio
2. Factors affecting the frequency of mating season or privacy required for mating

You are correct in pointing out the season of mating. This time around there has been an increase in the population of red ants during the mating season and considering that Red Fox is allergic to red ants, it has decreased the mating frequency for them. Good. Now let's move on to increasing death rate.

Decrease in population could be because of (Internal factors)

1. Increase in species that consume Red Fox as prey
2. Decrease in prey available for Red Fox
3. Out break of any disease
4. Aged population dying because of old age (External factors)
5. Increasing disturbance or threat from the visitors
6. Lack of cordial staff. Is it any of the above mentioned reasons?

I think you have exhaustively covered the possible reasons. The population has been declining because Red Fox feed on rabbits and rabbits have been declining because of lack of food. There has been a new enclosure for buffalo very close to rabbits because of which they have to share grass for food.

That was a good analysis. Can you summarise and provide recommendations?

Our client is facing a decline in the population of red fox since the last 7-8 months and this is mainly due to red ants infestation during their mating season and due to declining population of rabbits that they prey on. Recommendations could be:

1. Creating artificial environment for the red fox to mate.
2. If red ants are not important in the food chain efforts can be made to eradicate them either through pesticides or fumigation.
3. Looks for substitutes for food for both Red Fox, that feed on rabbit and rabbit, that feed on grass.
4. Demarcate availability of grass for buffalo and rabbit so that there is not overlap. You can also bring in externally sourced grass.

They are some good recommendation. I think we can close the case now.

National Park Population

Your client is a national park owner and is facing a decline in the animal population.

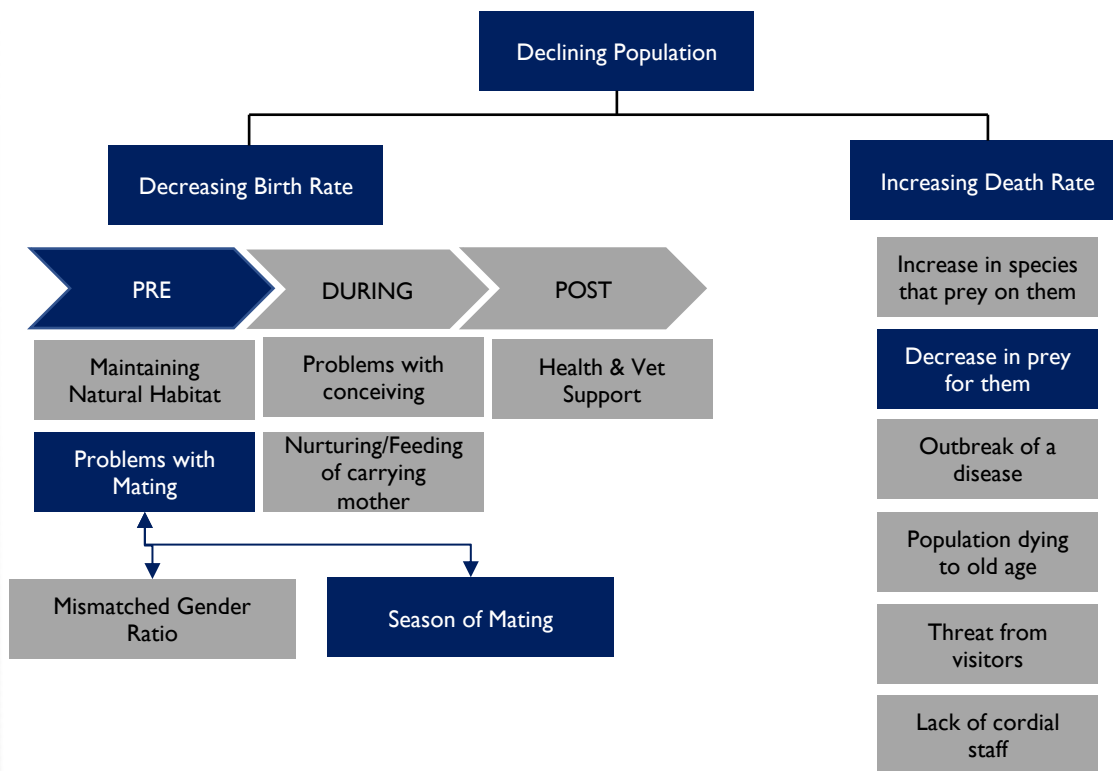
Interviewee Notes

- In such an unconventional case, ask preliminary questions based on commonly-known frameworks such as PESTEL, 4Ps, 5Cs etc.
- Think organically in terms of components of National Park to proceed in this case.
- It is okay to ask a lot of questions – about the species, habitat, etc.

Case Facts

- The National Park is based in California, is privately-owned
- Population of Red Fox has been declining since the past 7-8 months

Approach / Framework



Recommendations

1. Creating artificial environment for the red fox to mate.
2. If red ants are not important in the food chain efforts can be made to eradicate them either through pesticides or fumigation.
3. Looks for substitutes for food for both Red Fox, that feed on rabbit and rabbit, that feed on grass.
4. Demarcate availability of grass for buffalo and rabbit so that there is not overlap. You can also bring in externally sourced grass.

Cross-Sale Insurance Revenue – Interview Transcript

Your client is a leading insurance player that sells loans pan India. Despite the good business, they have seen very low cross-sell revenue and are anticipating your help on the same.

To start with, I would want to understand the business a little better. Lending institutions may offer a host of different insurances. Do we know the different types of lends our client specializes in?

Sure. So, we sell 4 different types of insurances majorly – vehicle, health, life and crop.

And about the cross-sell revenue, is it about selling a vehicle insurance to a life insurance user and vice-versa?

Correct. We keep pitching other types of insurances to our current customers. The interconversion is what we measure through cross-sell revenue.

Next, I would want to understand our customers. Do we have a primary identification of our customer base – say rural vs urban, or similar? I understand that given the non-intersecting nature of these insurances, we may be serving different customers across segments. A crop insurance may have farmers as their prime target, a life insurance may not.

As you rightly pointed out, we have fairly distinct customer bases across segments.

How has the industry been doing? Are other insurance providers facing similar issues?

Not really. The insurance industry as a whole is doing fine.

Great. To understand the problem, I would want to look at it from an individual consumer's perspective. Their interaction can be visualized as,

1. Pre-sale = interaction with agents (in-person or otherwise)
2. During sale = application process, agent network
3. Post-sales = claim process, service center availability

Please let me know if there is an identified pain point in any of these. Else, we can start analyzing them individually.

The major issue for us is in the lead generation phase itself. We are unable to convince our customers to buy other insurances. A probable solution to increase our hit rate is to try and pair the existing insurances and pitch it to our customers. What parameters would you consider to pair the insurances?

Based on the purpose they serve, I would club them into 3 different categories,

1. Physical wellbeing = Life, Health
2. Economic = Crop, Business insurances
3. Lifestyle = Vehicle, Home

Then we can target customers within each category. Say cross-sell life insurance only to the existing health insurance users and not as much to the vehicle insurance users.

Fair ask. But let us try and extend this. You have 4 options. You can club any two of them and form 12 different pairs (selling health to life user is different from selling life to health user). Now, if there were 20 such options, you would have 380 options. Your buckets wouldn't be as exhaustive then. Is there anything else we should try?

Makes sense. Let us then try and define a formula to measure the relation between two different insurances. This will give us a priority order to target the customers as well.

Okay. What would your formula look like?

Before that, can we use our existing customer data to estimate the success rate between individual types of insurances?

Yes. Our data can tell you the percentage of health insurances who converted towards crop insurance, or life insurance, and so on. Would that help?

Definitely. Then the formula becomes,

Relevance Index (a,b) = Revenue from a * Revenue from b * % conversion from a to b
The revenues account for the scale of each option and the conversion rate uses the correlation to give us the best yielding combination.

Good. So let us say we define the revenues from each segment in the form of a relative strength. We say Vehicle and Health are strong sector for us and we make higher revenues there. Crop and Life are weak for us with lower revenues. Given that, if you have to guess the top 2 pairs what would they be?

Given that vehicle and health are strong sectors for us, we should try and piggyback on the strong ones to increase our revenues. I think health and life should have a very strong correlation and should form a good pair. Is that understanding correct?

Correct. Based on our experience, the correlation between health and life is actually very high. On this, would you recommend selling Health insurance to a Life insurance user or the other way?

Because we have a stronger presence in the health insurance sector, we should use the strong base to expand our presence in the weaker sector of life insurance. So, I would sell life insurance to existing health insurance users.

Fair enough. Suppose I tell you the other well correlated pair is vehicle and crop. Sounds odd but can you explain it?

A probable explanation is that the vehicle insurances we are issuing are more towards farm-oriented vehicles such as tractors, trucks, etc.

That makes sense. Most of the vehicle insurance we issue are in fact for tractors.

Good analysis. We can rest the case.

Cross-Sale Insurance Revenue

Your client is a leading insurance player that sells loans pan India, who are facing low cross-sell revenue.

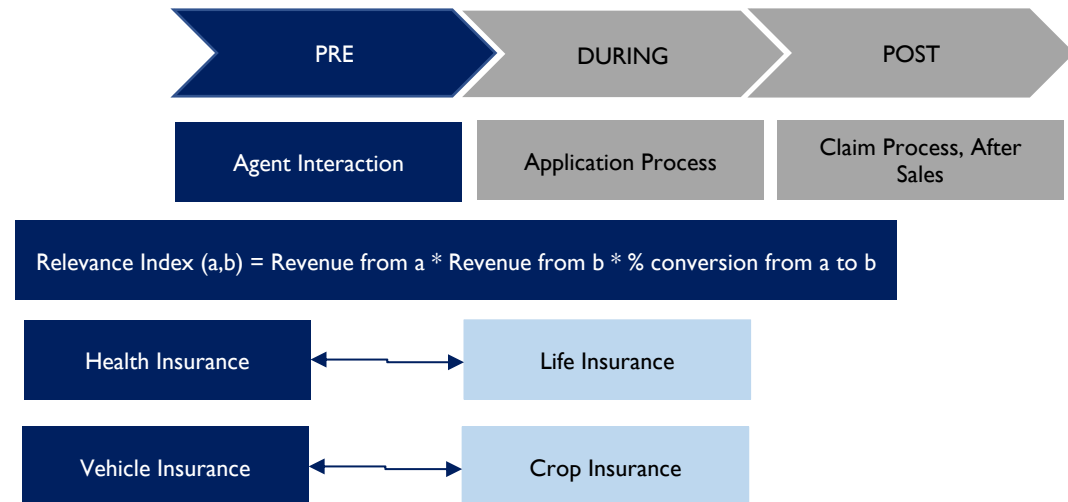
Interviewee Notes

- It is good to clarify what kinds of insurance the company sells and to what types of customers?
- It is important to appreciate here that target segments for each type of insurance is different.

Case Facts

- Client is an insurance company, selling 4 types of insurance.
- The client is facing problems in generating sufficient cross-sale revenue.

Approach / Framework



Recommendations

- Pairing up of weaker sectors with highly correlated stronger sectors to piggyback on stronger sales and drive more sales
- This analysis can help better target customers and drive cross-sale revenue

Key Learnings

- A bit of on-the-spot thinking is needed to pivot approaches. A simplistic formula-oriented analysis helps arrive at the solution.

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All the best!

For queries, feedback,
and all things consulting



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